

SEC Number: A2000-03008
File Number

MAX'S GROUP, INC.

(Company's Full Name)

**3/F KDC Plaza
2212 Chino Roces Avenue
Makati City**

(Company's Address)

(632) 8424-2800

(Telephone Number)

December 31

(Calendar Year Ending)
(month and day)

Form 17-Q Quarterly Report

Form Type

17-Q

Amendment Designation (If applicable)

30 September 2025

Period Ended Date

(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(B) THEREUNDER

1. For the quarterly period ended **30 September 2025**
2. SEC Identification No: **A2000-03008**
3. BIR Tax Identification No. **205-357-210-000**
4. Exact name of issuer as specified in its charter **Max's Group, Inc.**
5. **Manila, Philippines**
Province, Country or other jurisdiction of incorporation or organization
6. (SEC Use Only)
Industry Classification Code:
7. **3F KDC Plaza, 2212 Chino Roces Avenue Extension, Makati City**
Address of principal office

1230
Postal Code
8. **(632) 8424 2800**
Registrant's telephone number including area code
9. Former name, former address, and former fiscal year, if changed since last report: **N/A**
10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

<u>Title of Each Class</u>	<u>Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding</u>
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<u>Common Shares</u>	<u>1,036,414,624</u>
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11. Are any or all of these securities listed on the Philippine Stock Exchange?
Yes [**X**] No []

If yes, state the name of such stock exchange and the classes of securities listed therein:

<u>Philippine Stock Exchange</u>	<u>Common Shares</u>
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12. Indicate by check mark whether the issuer:
 - (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11 (a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding 12 months (or for such shorter period that the issuer was required to file such reports);
Yes [**X**] No []
 - (b) has been subject to such filing requirements for the past 90 days.
Yes [**X**] No []

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

The unaudited interim condensed consolidated financial statements of Max's Group, Inc. for the periods ended 30 September 2025 and 31 December 2024 and for the nine months ended 30 September 2025 and 30 September 2024, are attached to this 17-Q report and presented as follows:

- Interim Condensed Consolidated Statements of Financial Position as of 30 September 2025 and 31 December 2024
- Interim Condensed Consolidated Statements of Income for the periods ended 30 September 2025 and 30 September 2024
- Interim Condensed Consolidated Statements of Comprehensive Income for the periods ended 30 September 2025 and 30 September 2024
- Interim Condensed Consolidated Statements of Changes in Equity for the periods ended 30 September 2025 and 30 September 2024
- Interim Condensed Consolidated Statements of Cash Flows for the periods ended 30 September 2025 and 30 September 2024
- Notes to Interim Condensed Consolidated Financial Statements as of 30 September 2025 and 31 December 2024 and for the periods ended 30 September 2025 and 30 September 2024

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations

Results of Operations and Financial Condition for the period ended 30 September 2025

The summary of information presented in this report as of 30 September 2025 was derived from the Group's unaudited interim financial statements. The following discussion and analysis of the Group's financial condition and results of operations should be read in conjunction with the submitted Unaudited Financial Statements.

Financial Highlights and Key Performance Indicators

MGI delivered steady financial performance in Q3 2025 despite continued macro volatility and softer consumer sentiment. Year-to-date local same store sales growth reached 1.4%, led by strong performance from Yellow Cab and Pancake House. Average daily sales improved 9.9% vs. 2024 as mix management and targeted value interventions sustained transaction quality. Systemwide Sales remained resilient at P13.2 billion YTD, reflecting continued relevance and commercial traction across the portfolio even with more cautious spending behaviors.

MGI continued to drive margin resilience through disciplined cost management and network quality improvements. Fixed costs declined to 96.7 percent of 2024 levels as structural realignments continued to take hold. The ongoing streamlining of the store network supported better store-level performance as the portfolio reduced from 626 stores in Q3 2024 to 566 stores in Q3 2025, highlighting our focus on stronger trade areas and more efficient use of capital. The Group remains focused on strengthening operating standards and consistency to support sustainable profitability expansion.

PHPm	Q3 2025	Q3 2024	9M 2025	9M 2024	Q3 2025 vs LY	9M 2025 vs LY
System Wide Sales	4,192	4,544	13,203	13,722	-7.7%	-3.8%
Revenues	2,720	2,974	8,576	8,824	-8.5%	-2.8%
Cost of Sales	1,960	2,140	6,105	6,125	-8.4%	-0.3%
Gross Profit	760	834	2,471	2,699	-8.9%	-8.4%
Gen & Admin Exp.	-678	-680	-2,004	-2,033	-0.3%	-1.4%
Selling & Mktg. Exp.	-41	-94	-184	-305	-56.4%	-39.7%
Other Income	26	48	128	150	-45.8%	-14.7%
Income before finance costs	67	108	411	511	-38.0%	-19.6%
Finance Costs	-89	-66	-210	-203	34.8%	3.4%
Income before tax	-22	42	201	308	-152.4%	-34.7%
Provision for Income Tax	30	-20	-41	-122	-250.0%	-66.4%
Net Income	8	22	160	186	-63.6%	-14.0%
EBIT	67	108	411	511	-38.0%	-19.6%
EBITDA	248	286	983	1,082	-13.3%	-9.1%
Margins						
Gross profit	27.9%	28.0%	28.8%	30.6%	-0.4%	-5.9%
Selling & Mktg.	1.5%	3.2%	2.1%	3.5%	0.0%	0.0%
EBIT	2.5%	3.6%	4.8%	5.8%	-32.2%	-17.2%
EBITDA	9.1%	9.6%	11.5%	12.3%	-5.2%	-6.5%
Net income before taxes	-0.8%	1.4%	2.3%	3.5%	-157.3%	-32.9%
Net income	0.3%	0.7%	1.9%	2.1%	-60.2%	-11.5%

System-wide Sales and Revenues

PHPm	Q3 2025	Q3 2024	9M 2025	9M 2024	Q3 2025 vs LY	9M 2025 vs LY
System Wide Sales	4,192	4,544	13,203	13,722	-7.7%	-3.8%
Revenues	2,720	2,974	8,576	8,824	-8.5%	-2.8%

Despite operating with a smaller network this year, the Group sustained healthy revenue traction through the first nine months of 2025. Year-to-date local same store sales growth reached 1.4%, driven by the continued relevance of our brand-specific value strategies and our focus on elevating the customer experience.

These results were achieved even with a reduced operating footprint, reflecting the effectiveness of our recent footprint realignment and the improved productivity of the remaining portfolio. This performance continues to validate our shift toward higher-quality locations and more consistent unit-level economics as we build a more resilient commercial base for sustainable growth.

Cost of Sales and Services

Cost of Sales and services remained flat year-on-year despite the lower topline, reflecting the impact of higher input costs across the business. Food cost inflation, mandatory labor cost adjustments, rent escalations, and utilities increases offset the costs associated with the store network decline, resulting in minimal variance versus last year. This underscores the continued pressure on direct operating costs and reinforces the need for disciplined cost management and active efficiency programs at the store level.

Cost of sales and services (PHPm)	Q3 2025	Q3 2024	9M 2025	9M 2024	Q3 2025 vs LY	9M 2025 vs LY
Food and beverages	977	1,064	3,075	3,058	-8.2%	0.6%
Salaries, wages and employee benefits	366	387	1,109	1,129	-5.4%	-1.8%
Rentals	200	236	595	596	-15.3%	-0.2%
Depreciation and amortization	160	153	502	495	4.6%	1.4%
Light and water	122	124	376	361	-1.6%	4.2%
Supplies used	33	39	97	108	-15.4%	-10.2%
Repairs and maintenance	29	54	127	144	-46.3%	-11.8%
Fuel and oil	29	36	98	108	-19.4%	-9.3%
Others	44	47	126	126	-6.4%	0.0%
TOTAL	1,960	2,140	6,105	6,125	-8.4%	-0.3%

Gross Profit

The Group's gross profit performance was directly attributable to the factors affecting cost of sales and services.

General and Administrative Expenses (G&A expenses)

General and administrative expenses continued to trend lower in Q3 2025 versus the same period last year as cost efficiency measures remained in effect. Year-to-date expenses declined by 1.4% to P2.0 billion, driven primarily by lower royalty and brand fund, dues and subscriptions, depreciation and amortization, transportation, supplies, and other administrative line items. These savings were partially offset by higher spending related to service fees, rentals, meetings and corporate activities, and utilities.

General and administrative expenses (PHPm)	Q3 2025	Q3 2024	9M 2025	9M 2024	Q3 2025 vs LY	9M 2025 vs LY
Salaries, wages and employee benefits	231	227	683	665	1.8%	2.7%
Service fees	97	90	257	230	7.8%	11.7%
Taxes and licenses	77	76	248	242	1.3%	2.5%
Freight out	60	65	186	190	-7.7%	-2.1%
Royalty & Brand Fund	48	55	146	160	-12.7%	-8.8%
Dues and subscription	29	27	63	77	7.4%	-18.2%
Rental	23	17	63	52	35.3%	21.2%
Professional fees	18	21	52	44	-14.3%	18.2%
Transportation and travel	16	14	41	43	14.3%	-4.7%
Depreciation and amortization	18	26	66	76	-30.8%	-13.2%
Light and water	12	12	38	34	0.0%	11.8%
Repairs and maintenance	7	26	26	64	-73.1%	-59.4%
Others	42	51	135	156	-17.6%	-13.5%
TOTAL	678	707	2,004	2,033	-4.1%	-1.4%

Selling and Marketing

Selling and marketing expenses decreased primarily due to targeted promotional and advertising costs.

Other Income and Expenses

Other income and expenses primarily consist of call center charges, sales of scrap materials, rebates, and prompt discounts. The decline compared to the same period last year is primarily driven by the decrease in marketing support received from partners, contributing to the Group's promotional activities.

Income Before Finance Costs and Earnings before Interest, Taxes, Depreciation and Amortization (EBITDA)

The decline in income before finance costs and EBITDA was primarily attributed to inflationary pressures on goods, services, and expenses, increased minimum wage and statutory benefits, contractual rent escalations, the impact of foreign exchange fluctuations, and the timing of expenses, including one-time costs associated with store closures.

Net Income

Net income is affected by the factors covered above.

Financial Condition

As at 30 September 2025 vs 31 December 2024

ASSETS

The Group concluded the nine-month period ending 30 September 2025 with consolidated total assets of P12.8 billion, a slight decline from P13.5 billion as of 31 December 2024.

Assets (PHPm)	As at 30 September 2025 (Unaudited)	As at 31 December 2024 (Audited)	Change	
			Amount	%
ASSETS				
Current Assets				
Cash and cash equivalents	692	1,060	-368	-34.7%
Trade and other receivables	938	1,602	-664	-41.4%
Inventories	633	696	-63	-9.1%
Prepaid expenses and other current assets	391	278	113	40.6%
Total Current Assets	2,654	3,636	-982	-27.0%
Noncurrent Assets				
Property, plant and equipment	3,409	3,300	109	3.3%
Intangible assets	4,754	4,759	-5	-0.1%
Right-of-use (ROU) assets	854	843	11	1.3%
Investment properties	90	90	0	0.0%
Security deposits on lease contracts	639	607	32	5.3%
Net deferred income tax assets	288	162	126	77.8%
Other noncurrent assets	95	93	2	2.2%
Total Noncurrent Assets	10,129	9,854	275	2.8%
TOTAL ASSETS	12,783	13,490	-707	-5.2%

Cash and Cash Equivalents

The decline in cash and cash equivalents was primarily influenced by the timing of receivable collections, typical fluctuations in working capital, dividend payments, capital expenditures, and loan repayments.

Trade and other receivables

Trade and other receivables decreased to P0.9 billion as of 30 September 2025 from P1.60 billion at year-end 2024. The reduction was mainly due to improved collection efficiency.

Inventories

The decrease in inventories reflects the timing and impact of our inventory management processes, which aim to optimize stock levels and meet anticipated demand.

Prepaid Expenses and Other Current Assets

The growth in prepaid expenses and other current assets was attributed to the payment of prepaid business taxes and the acquisition of additional tax credits, which will be amortized and utilized throughout the year.

Net Deferred Income Tax Assets

The increase in net deferred income tax assets was primarily influenced by timing differences in the associated tax bases.

LIABILITIES

The following table summarizes the Group's consolidated liability accounts:

Liabilities and Equity (PHPm)	As at 30 September 2025 (Unaudited)	As at 31 December 2024 (Audited)	Change	
			Amount	%
LIABILITIES				
Current Liabilities				
Trade and other payables	1,631	2,491	-860	-34.5%
Current portion of long-term debt	650	550	100	18.2%
Current portion of lease liabilities	224	297	-73	-24.6%
Income tax payable	19	39	-20	-51.3%
Total Current Liabilities	2,524	3,377	-853	-25.3%
Noncurrent Liabilities				
Long-term debt, net of current portion	3,425	3,489	-64	-1.8%
Lease liabilities, net of current portion	681	602	79	13.1%
Contract liabilities	25	31	-6	-19.4%
Net retirement liabilities	375	319	56	17.6%
Total Noncurrent Liabilities	4,506	4,441	65	1.5%
Total Liabilities	7,030	7,818	-788	-10.1%
Total Equity	5,753	5,672	81	1.4%
TOTAL LIABILITIES AND EQUITY	12,783	13,490	-707	-5.2%

Trade and other payables

Trade and other payables declined to P1.6 billion from P2.5 billion, primarily reflecting the timing of payments made during the period.

Total Long-term Debt

The decrease in total long-term debt was a result of debt repayments made during the period.

Total Lease Liabilities

The increase in total lease liabilities was due to the recognition of rent payments made throughout the year.

Income Tax Payable

The decrease in income tax payable was mainly driven by the timing of tax remittances and the corresponding recognition of income tax expense during the period.

Net retirement liabilities

Increase in net retirement liabilities is primarily due to the recognition of additional obligations during the period.

Cash Flow Summary

Cash generated from operating activities for the first nine months of 2025 amounted to P489 million, slightly lower than the P513 million recorded in the same period last year. The movement was primarily driven by working capital timing.

Net cash used in investing activities totaled P455 million, reflecting continued capital investments in store refresh initiatives and other assets necessary to support operational execution. Meanwhile, net cash used in financing activities amounted to P401 million, largely attributable to payments related to lease liabilities, alongside dividends paid to shareholders. These capital allocations continue to reinforce the strategic priorities of the Group and support the resiliency and long-term positioning of the business.

Key Financial Ratios

	9M 2025	9M 2024
a. Gross Profit Margin	28.80%	30.60%
b. Net Income Margin	1.90%	2.10%
c. Debt to Equity Ratio	1.22x	1.53x
d. Net Debt to Equity Ratio	1.10x	1.35x
e. Loan to Equity Ratio	0.7x	0.7x
f. Return on Equity	2.79%	3.45%

Notes:

- a. Gross Profit Margin = Gross Profit / Revenues
- b. Net Income Margin = Net Income / Revenues
- c. Debt to Equity = Total Liabilities / Total Equity
- d. Net Debt to Equity = (Total Liabilities – Cash / Total Equity)
- e. Loan to Equity = Total Loans / Total Equity
- f. Return on Equity = Net Income / Total Equity

Discussion on Material Events, Commitments and Uncertainties

1. There were no events during the reporting period that will trigger direct or contingent financial obligation that is material to Max's Group, Inc.
2. There were no off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the reporting period.
3. Seasonality forms part of the nature of restaurant operations. Second and fourth quarters are traditionally considered peak periods owing to the summer events, including but not limited to fiestas, Lenten events, and Christmas holidays. First and third quarters are lean months.
4. All of Max's Group, Inc.'s income arose from continuing business operations.

PART II – OTHER INFORMATION

None.

(end)

SIGNATURE

Pursuant to the requirements of the Securities and Regulation Code, the Group has duly caused this report to be signed by on its behalf by the undersigned thereunto duly authorized.

ISSUER: **MAX'S GROUP, INC.**

By: 
Diane L. Yanzon
Deputy Chief Financial Officer

Max's Group, Inc. and Subsidiaries

(Doing business under the name and styles of Max's Restaurant, Pancake House, Maple, Dencio's, Singkit, Yellow Cab, Teriyaki Boy, Sizzlin' Steak, Max's Corner Bakery, Max's Group Kitchen, Max's All About Chicken, and All About Chicken)

**Interim Condensed Consolidated Financial Statements
as at and for the period ended
September 30, 2025 and December 31, 2024**

Max's Group, Inc. and Subsidiaries

(Doing business under the name and styles of
Max's Restaurant, Pancake House, Maple, Dencio's, Singkit, Yellow Cab, Teriyaki Boy, Sizzlin' Steak,
Max's Corner Bakery, Max's Group Kitchen, Max's All About Chicken, and All About Chicken)

Interim Consolidated Statements of Financial Position

(All amounts in thousands of Philippine Peso)

		As at September 30, 2025 (Unaudited)	As at December 31, 2024 (Audited)
	Notes		
Assets			
Current assets			
Cash and cash equivalents		692,261	1,059,710
Trade and other receivables, net		937,830	1,601,977
Inventories		633,440	696,414
Other current assets, net		391,496	278,173
Total current assets		2,655,027	3,636,274
Non-current assets			
Property, plant and equipment	3	3,409,060	3,299,571
Intangible assets	4	4,753,538	4,759,188
Right-of-use assets (ROU)	6	853,696	842,809
Investment properties		90,213	90,213
Security deposits on lease contracts	6	639,263	606,958
Net deferred income tax assets		287,571	162,164
Other non-current assets		94,562	93,166
Total non-current assets		10,127,903	9,854,069
Total assets		12,782,930	13,490,343
Liabilities and Equity			
Current Liabilities			
Trade and other payables	5	1,630,999	2,490,816
Short-term debt		650,000	450,000
Current portion of:			
Long-term debt	7	-	100,000
Lease liabilities	6	224,092	296,533
Income tax payable		18,585	39,010
Total current liabilities		2,523,676	3,376,359
Noncurrent Liabilities			
Non-current portion of:			
Long-term debt	7	3,425,164	3,489,452
Lease liabilities	6	681,055	602,025
Contract liabilities	5	25,495	31,373
Net retirement liabilities		374,698	319,441
Total non-current liabilities		4,506,412	4,442,291
Total liabilities		7,030,088	7,818,650
Equity			
Capital stock	8	1,087,082	1,087,082
Additional paid-in capital		5,353,289	5,353,289
Treasury stock		(499,102)	(499,102)
Retained earnings		2,243,270	2,228,524
Other equity reserves		(254,969)	(323,132)
Shares held by subsidiaries		(2,122,928)	(2,122,928)
Equity attributable to equity holders of the Parent Company		5,806,642	5,723,733
Non-controlling interests		(53,800)	(52,040)
Total equity		5,752,842	5,671,693
Total liabilities and equity		12,782,930	13,490,343

The notes on pages 1 to 40 are integral part of these interim consolidated financial statements.

Max's Group, Inc. and Subsidiaries

(Doing business under the name and styles of

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Unaudited Interim Consolidated Statement of Income

(All amounts in thousands of Philippine Peso, except for earnings per share)

	Notes	For the Nine months ended September 30 (Unaudited)			
		2025		2024	
		3rd Quarter Three months	3rd Quarter Nine months	3rd Quarter Three months	3rd Quarter Nine months
Revenues					
Restaurant sales		2,113,074	6,628,269	2,271,758	6,797,935
Commissary sales		439,894	1,413,026	521,368	1,489,430
Franchise, royalty and continuing license fees		167,159	534,791	180,978	537,071
		2,720,127	8,576,086	2,974,104	8,824,436
Costs of sales and services	10	1,959,512	6,105,404	2,139,861	6,124,746
Gross profit		760,615	2,470,682	834,243	2,699,690
General and administrative expenses	11	(678,085)	(2,003,629)	(680,167)	(2,032,790)
Sales and marketing expenses		(40,579)	(184,347)	(94,269)	(305,209)
Finance Cost					
Loans payable and Long - term debt	7	(76,455)	(177,351)	(58,135)	(176,341)
Lease liabilities	6	(12,652)	(32,288)	(7,655)	(26,835)
Other income, net	12	25,331	127,925	48,102	149,156
Income before income tax		(21,825)	200,992	42,119	307,671
Provision for (benefit from) income tax					
Current		(3,445)	100,861	58,333	219,427
Deferred		(26,305)	(60,235)	(37,982)	(97,285)
		(29,750)	40,626	20,351	122,142
Net income		7,925	160,366	21,768	185,529
Net income attributable to:					
Equity holders of the Parent Company		9,974	161,808	21,934	185,157
Non-controlling interests		(941)	(1,442)	(165)	372
		9,033	160,366	21,768	185,529
Earnings per share attributable to the equity holders of the Parent Company					
Basic/Diluted	14	0.01	0.21	0.03	0.24

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Unaudited Interim Consolidated Statement of Comprehensive Income

(All amounts in thousands of Philippine Peso)

	For the Nine months ended September 30 (Unaudited)			
	2025		2024	
	3rd Quarter		3rd Quarter	
	Three months	Nine months	Three months	Nine months
Net income	9,033	160,366	21,768	185,529
Other comprehensive income (loss)				
Item to be reclassified to profit or loss				
Exchange differences on translation of foreign operations	(5,360)	62,113	(8,171)	19,150
Item not to be reclassified to profit or loss				
Remeasurement gains (losses) on net retirement plan, net of deferred income tax	(23,359)	54,505	-	-
Total comprehensive income	(19,686)	276,984	13,597	204,679
Total comprehensive income attributable to:				
Equity holders of the Parent Company	(19,686)	276,984	13,597	204,307
Non-controlling interests	-	-	-	372
	(19,686)	276,984	13,597	204,679

The notes on pages 1 to 40 are integral part of these interim consolidated financial statements.

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Unaudited Interim Consolidated Statement of Changes in Equity

(All amounts in thousands of Philippine Peso)

	Note	For the Nine months ended September 30 (Unaudited)	
		2025	2024
Capital Stock	8	1,087,082	1,087,082
Additional Paid-In Capital		5,353,289	5,353,289
Treasury stock - at cost		(499,102)	(499,102)
Retained Earnings			
Balance at beginning of period		2,227,412	1,985,011
Net income attributable to the equity holders of the Parent Company		161,808	185,156
Cash dividends		(145,950)	(175,000)
Balance at end of period		2,243,270	1,995,167
Other equity reserves			
Item to be reclassified to profit or loss –			
Cumulative translation adjustments			
Balance at beginning of period		9,802	(14,497)
Exchange differences on translation of foreign operations		68,173	22,189
Balance at end of period		77,975	7,692
Item not to be reclassified to profit or loss -			
Remeasurement adjustments on net retirement liabilities and plan assets, net of deferred income tax			
Balance at beginning and end of period, net of deferred tax		(332,945)	(387,449)
		(254,968)	(379,757)
Shares held by subsidiaries - at cost	8	(2,122,928)	(2,122,928)
Non-controlling interests			
Balance at beginning of period		(52,040)	(52,360)
Movement in noncontrolling interest		(1,761)	372
Balance at end of period		(53,801)	(51,988)
		5,752,842	5,381,764

The notes on pages 1 to 40 are integral part of these interim consolidated financial statements.

Max's Group, Inc. and Subsidiaries

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Unaudited Interim Consolidated Statement of Cash Flows

(All amounts in thousands of Philippine Peso)

		For the Nine months ended September 30 (Unaudited)	
	Notes	2025	2024
Cash flows from operating activities			
Income before income tax		200,993	307,671
Adjustments for:			
Depreciation and amortization	13	572,470	571,524
Finance costs – borrowings	7	177,351	176,341
Finance costs – lease liabilities	6	32,289	26,835
Interest income		(284)	(6,280)
Gain on disposal of asset		(671)	(1,289)
Operating income before working capital changes		982,148	1,074,802
Decrease (increase) in:			
Trade and other receivables		664,185	43,494
Inventories		62,972	(110,081)
Other current assets		(86,920)	(30,022)
Increase (decrease) in:			
Trade and other payables		(798,997)	(152,129)
Net retirement liabilities		55,258	15,292
Net cash generated from operations		878,646	841,356
Interest paid		(177,350)	(176,341)
Income tax paid		(212,864)	(158,256)
Interest received		284	6,281
Net cash generated from (used in) operating activities		488,716	513,040
Cash flows from investing activities			
Acquisitions of:			
Property, plant and equipment		(393,380)	(325,987)
Intangible assets		(27,856)	(23,033)
Decrease (increase) in:			
Other noncurrent assets		(1,397)	65,639
Security, utility and other deposits		(32,306)	(16,635)
Net cash provided by investing activities		(454,939)	(300,016)
Cash flows from financing activities			
Payments of:			
Long-term debt		35,712	(360,000)
Lease Liabilities		(290,988)	(300,690)
Cash dividends paid		(145,950)	(175,000)
Net cash used in financing activities		(401,226)	(835,690)
Net increase (decrease) in cash and cash equivalents		(367,449)	(622,666)
Cash and cash equivalents at beginning of period		1,059,710	1,497,514
Cash and cash equivalents at end of period		692,261	874,848
Noncash financial information			
Recognition of:			
ROU Assets		853,696	609,407
Lease Liabilities		905,147	665,980
Depreciation and amortization		254,401	252,482
Interest Expense		32,289	26,835

The notes on pages 1 to 40 are integral part of these interim consolidated financial statements.

Max's Group, Inc. and Subsidiaries

(Doing business under the name and styles of Max's Restaurant, Pancake House, Maple, Dencio's Singkit, Yellow Cab, Teriyaki Boy, Sizzlin' Steak Max's Corner Bakery, Max's Group Kitchen, Max's All About Chicken, and All About Chicken)

Notes to the Interim Consolidated Financial Statements

As at and for the period ended

September 30, 2025 and December 31, 2024

(In the notes, all amounts are shown in thousands of Philippine Peso unless otherwise stated)

1 Business Information**1.1 General Information**

MAX'S GROUP, INC. Doing business under the name and styles of Max's Restaurant, Pancake House, Maple, Dencio's, Singkit, Yellow Cab, Teriyaki Boy, Sizzlin' Steak, Max's Corner Bakery, Max's Group Kitchen, Max's All About Chicken, and All About Chicken (the Parent Company) was incorporated in the Philippines and registered with the Securities and Exchange Commission (SEC) on March 1, 2000. The Parent Company's shares are publicly traded in the Philippine Stock Exchange (PSE). The Parent Company and its subsidiaries (collectively referred to as "the Group") are primarily engaged in the business of catering food and establishing, operating and maintaining restaurants, coffee shops, refreshments parlors and cocktail lounges.

The Parent Company's primary purpose also includes dealing in the business of acquiring and developing any and all trade names, brand names and master franchises, including other intellectual property rights necessary to commence and operate the relevant business enterprises, as well as to grant the use of such trade names, brand names and master franchises for and in consideration of the payment of fees and royalties, and in connection therewith, establish management services for the expansion of the business enterprises.

The Group operates under the trade names "Max's or Max's Restaurant", "Pancake House", "Yellow Cab", "Krispy Kreme", "Jamba Juice", "Max's Corner Bakeshop", "Dencio's", "Max's Kabisera", "Teriyaki Boy", "Singkit", "Sizzlin' Steak", "Le Coeur de France", and "Maple".

The Parent Company's registered address is located at 3/F KDC Plaza, 2212 Chino Roces Avenue, Makati City, Metro Manila.

The interim condensed consolidated financial statements include the accounts of the Parent Company and the following subsidiaries as at and for the Nine months ended September 30, 2025 and as at and for the year ended December 31, 2024:

Company Name	Nature of Business	Percentage of Effective Ownership	
		2025	2024
Max's Kitchen, Inc. (MKI)	Restaurant	100	100
The Real American Doughnut Company, Inc. (TRADCI)	Bakery	100	100
No Bia, Inc. (No Bia)	Commissary	100	100
Max's Bakeshop, Inc. (MCB)	Bakery	100	100
Ad Circles, Inc. ^[a]	Advertising support	100	100
Alpha (Global) Max Group Limited (Alpha Max)	Franchising	100	100
eMax's LLC (eMax)	Franchising	100	100
Global Max Services Pte. Ltd. and Global Max Services Pte. Ltd. Regional Operating Headquarters	Management consultancy	100	100
YCPC Subic, Inc. ^[a]	Restaurant	100	100
Always Happy BGC, Inc. ^[a]	Restaurant	100	100
PCK-LFI, Inc. ^[a]	Restaurant	100	100
PCK-Boracay, Inc. ^[a]	Restaurant	100	100
PCKPolo, Inc. ^[a]	Restaurant	70	70
PCK-Palawan, Inc. ^[a]	Restaurant	60	60
DFSI One-Nakpil, Inc. ^[a]	Restaurant	60	60
PCK-AMC, Inc. ^[a]	Restaurant	60	60
PCK Estancia Capitol, Inc.	Restaurant	60	60
PCK-MTB, Inc.	Restaurant	60	60
PCK Bel-Air, Inc. ^[a]	Restaurant	51	51
PCK-MSD, Inc. ^[b]	Restaurant	50	50
Pancake House International, Inc. (PHII) ^[a]	Holding company	100	100
Teriyaki Boy International - Inc. (TBII) ^[a]	Franchising	100	100
Yellow Cab Food Co. International - Inc. (YCFII) ^[a]	Franchising	100	100
Pancake House, International Malaysia Sdn Bhd (PHIM) ^[a]	Restaurant	100	100
Pancake House Ventures, Inc. (PHVI) ^[a]	Holding company	100	100
Pancake House Products, Inc. ^[a]	Holding company	100	100
Golden B.E.R.R.D. Grill, Inc. ^[a]	Restaurant	100	100
Teriyaki Boy Group, Inc. (TBGI)	Restaurant	100	100
TBGI-Trinoma, Inc. ^[a]	Restaurant	60	60
TBGI-Marilao, Inc. ^[a]	Restaurant	51	51
TBOY-MS, Inc. ^[b]	Restaurant	50	50
TBGI-Tagaytay, Inc. ^{[a] [b]}	Restaurant	40	40
YCPI Pizza Venture, Inc. ^[a]	Restaurant	55	55
M Food Concepts, Inc. (M Food) ^[a]	Holding company	100	100
Sizzlin' Steak, Inc. (SSI) ^[a]	Restaurant	100	100
Boulangerie Francaise, Inc. (BFI) ^[a]	Restaurant	100	100
88 Just Asian, Inc. (88JAI) ^[a]	Restaurant	80	80
CRPPhilippines, Inc. ^{[a] [b]}	Restaurant	50	50
Northhub Development Corp ^[c]	Commissary	100	100

^[a] Companies that are dormant or have not yet started commercial operations as at September 30, 2025 and December 31, 2024.

^[b] Although the Parent Company owns 50% or less of the voting power of these entities, it is able to govern the financial and operating policies of the companies by virtue of agreements with the other investors of such entities. Consequently, the Parent Company considered these entities as subsidiaries.

^[c] In December 2023, the Parent Company incorporated its new commissary store.

All of the subsidiaries are incorporated and operating in the Philippines and registered with the SEC, except for the following entities:

- PHII, TBII and YCFII, companies incorporated in British Virgin Islands;
- PHIM, a company incorporated and operating in Malaysia;
- M Food, SSI and eMax, companies incorporated in United States of America (USA);
- Alpha Max, a company incorporated in Hong Kong; and
- Global Max, a company incorporated in Singapore.

1.2 Approval on the Issuance of the Interim Condensed Consolidated Financial Statements

The interim condensed consolidated financial statements of the Group as at and for the period ended September 30, 2025 and December 31, 2024 were approved and authorized for issue by the Board of Directors (BOD) of the Parent Company on November 10, 2025, upon the recommendation of the Audit Committee on the same date.

2 Operating Segment Information

For management purposes, the Group is organized into segments based on the nature of the products and services offered and geographical locations. The Executive Management Committee monitors the operating results of its segments separately for resource allocation and performance assessment. Segment results are evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements.

(a) Business segments

The Group's operating businesses are organized and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets.

- The food service segment is involved in the operation and preparation of food products to be sold to Max's Group company-owned and franchised stores.
- The commissary segment is involved in the manufacture and wholesale of food products sold to external and related party customers.
- The support services segment is involved in providing various services mainly to the Group's independent franchisees and related parties like but not limited to repairs and maintenance of store equipment, staffing, helpdesk services and other business activities in support of the normal operations.

The following tables present certain information on revenues, expenses and other segment information of the different business segments for the nine months ended September 30, 2025 and 2024:

	September 2025 (Unaudited)				
	Food service	Commissary	Support services	Eliminations	Consolidated
Revenue from external customers	7,500,638	996,033	79,415	-	8,576,086
Inter-segment revenues	-	1,612,235	278,584	(1,890,819)	-
Segment revenues	7,500,638	2,608,268	357,999	(1,890,819)	8,576,086
Segment expenses	(7,440,407)	(2,481,970)	(530,049)	2,159,045	(8,293,381)
Other segment income	214,150	-	181,720	(268,226)	127,644
Segment result	274,381	126,298	9,670	-	410,349
Interest income					282
Interest expense					(209,639)
Income before income tax					200,992
Provision for income tax					(40,626)
Net income					160,366

	September 2024 (Unaudited)				
	Food service	Commissary	Support services	Eliminations	Consolidated
Revenue from external customers	7,782,784	960,046	81,607	-	8,824,437
Inter-segment revenues	-	1,572,103	325,877	(1,897,980)	-
Segment revenues	7,782,784	2,532,149	407,484	(1,897,980)	8,824,437
Segment expenses	(7,683,433)	(2,334,564)	(657,913)	2,186,526	(8,489,384)
Other segment income	195,790	-	262,269	(288,546)	169,513
Segment result	295,141	197,585	11,840	-	504,566
Interest income					6,280
Interest expense					(203,175)
Income before income tax					307,671
Provision for income tax					(122,142)
Net income					185,529

The following tables present certain information on assets and liabilities and other segment information of the different business segments as at September 30, 2025 and December 31, 2024:

	September 2025 (Unaudited)				
	Food service	Commissary	Support services	Eliminations	Consolidated
Assets and Liabilities					
Segment Assets	9,125,203	3,312,796	57,360	-	12,495,359
Deferred tax assets - net	222,846	-	64,725	-	287,571
Consolidated Assets	9,348,049	3,312,796	122,085	-	12,782,930
Segment Liabilities	215,577	2,107,857	579,441	-	2,902,875
Long-term debt - including current portion	3,408,629	700,000	-	-	4,108,629
Income tax payable	12,236	6,348	-	-	18,584
Consolidated Liabilities	3,636,442	2,814,205	579,441	-	7,030,088

	December 2024 (Audited)				
	Food service	Commissary	Support services	Eliminations	Consolidated
Assets and Liabilities					
Segment Assets	9,527,224	3,504,385	296,570	-	13,328,179
Deferred tax assets - net	105,874	-	59,290	-	162,164
Consolidated Assets	9,633,098	3,504,385	355,860	-	13,490,343
Segment liabilities	764,109	2,292,327	683,751	-	3,740,187
Long-term debt - including current portion	3,264,452	775,000	-	-	4,039,452
Income tax payable	32,663	6,348	-	-	39,011
Consolidated liabilities	4,061,224	3,073,675	683,751	-	7,818,650

(b) Geographical segments

The Group's international operations of the Max's brand (through Alphamax and eMax) and Pancake House brand (through PHII) are considered to be immaterial in relation to the consolidated financial statements. Total assets and revenues are 2.60% and 1.29% in 2025 (2024 - 2.63% and 1.26% respectively) of the Group.

Majority of the Group's revenues were generated from the Philippines, which is the Parent Company's country of domicile.

The following tables present segment revenues and segment assets of the Group's geographical segments:

	September 2025 (Unaudited)			
	Philippines	International	Eliminations	Consolidated
Segment Revenues	10,411,202	110,327	(1,945,443)	8,576,086
Segment Assets	12,163,252	332,107	-	12,495,359

	September 2024 (Unaudited)			
	Philippines	International	Eliminations	Consolidated
Segment Revenues	10,669,006	110,927	(1,955,496)	8,824,437
Segment Assets	12,399,255	356,354	-	12,755,609

(c) *Revenue from contracts with customers*

Restaurant sales are attributable to revenues from the public, which are generated through the Group's store outlets. Commissary sales and royalty fees are derived from various franchisees of the Group's trade names. Consequently, the Group has no concentrations of revenues from a single customer or franchisee in 2025 and 2024.

Set out below is the disaggregation of the Group's revenue from contracts with customers:

	September 2025 (Unaudited)			
	Food Service	Commissary	Eliminations	Consolidated
Revenue Source				
Restaurant Sales	6,628,269	-	-	6,628,269
Commissary Sales	-	1,413,026	-	1,413,026
Royalty Fees	435,924	-	-	435,924
Other revenues	19,452	-	79,415	98,867
Total Revenue from Contracts with customers	7,083,645	1,413,026	79,415	8,576,086

	September 2024 (Unaudited)			
	Food Service	Commissary	Eliminations	Consolidated
Revenue Source				
Restaurant Sales	6,797,935	-	-	6,797,935
Commissary Sales	-	1,489,430	-	1,489,430
Royalty Fees	432,842	-	-	432,842
Other revenues	22,623	-	81,607	104,230
Total Revenue from Contracts with customers	7,253,400	1,489,430	81,607	8,824,437

3 Property, Plant and Equipment

Movements in property, plant and equipment are as follows:

	September 30, 2025 (Unaudited)							
	Land	Plant and Building	Leasehold Improvements	Store and Kitchen Equipment	Furniture, Fixtures and Equipment	Transportation Equipment	Construction In-Progress	Total
Cost								
At January 1, 2025	191,227	1,440,135	3,886,575	2,065,021	1,120,791	203,963	186,906	9,094,618
Additions	-	8,038	121,734	87,577	58,134	14,355	104,215	394,053
Disposals	-	(154)	(2,525)	-	(340)	-	-	(3,019)
At September 30, 2025	191,227	1,448,019	4,005,784	2,152,598	1,178,585	218,318	291,121	9,485,652
Accumulated Depreciation and Amortization								
At January 1, 2025	-	150,686	3,007,703	1,495,384	952,568	188,706	-	5,795,047
Depreciation and amortization	-	31,238	130,869	83,765	35,427	3,265	-	284,564
Disposals	-	(154)	(2,525)	-	(340)	-	-	(3,019)
At September 30, 2025	-	181,770	3,136,047	1,579,149	987,655	191,971	-	6,076,592
Net Carrying Amount	191,227	1,266,249	869,737	573,449	190,930	26,347	291,121	3,409,060

	December 31, 2024 (Audited)							
	Land	Plant and Building	Leasehold Improvements	Store and Kitchen Equipment	Furniture, Fixtures and Equipment	Transportation Equipment	Construction In-Progress	Total
Cost								
At January 1, 2024	191,227	1,426,986	3,705,429	2,009,961	1,004,035	201,315	125,020	8,663,973
Additions	-	13,332	185,149	145,502	120,868	9,961	61,886	536,698
Disposals	-	(183)	(4,003)	(90,442)	(4,112)	(7,313)	-	(106,053)
At December 31, 2024	191,227	1,440,135	3,886,575	2,065,021	1,120,791	203,963	186,906	9,094,618
Accumulated Depreciation and Amortization								
At January 1, 2024	-	109,476	2,804,759	1,477,117	884,081	194,229	-	5,469,662
Depreciation and amortization	-	41,393	206,947	108,709	72,599	1,790	-	431,438
Disposals	-	(183)	(4,003)	(90,442)	(4,112)	(7,313)	-	(106,053)
At December 31, 2024	-	150,686	3,007,703	1,495,384	952,568	188,706	-	5,795,047
Net Carrying Amount	191,227	1,289,449	878,872	569,637	168,223	15,257	186,906	3,299,571

There are no material contractual commitments as at September 30, 2025 and December 31, 2024. The construction-in-progress pertains to renovations of certain stores, including soon-to-open stores, and the refurbishment of the commissary plant in Carmona, Cavite.

No property, plant and equipment as at September 30, 2025 and December 31, 2024 have been pledged as security or collateral for the Group's debts.

On November 14, 2019, No Bia entered into a long-term debt agreement for P1,000.0 million with a local bank to finance the construction of the commissary (Note 7). Since the construction of the commissary has been completed in 2021, borrowing costs in 2024 and 2023 were recognized as part of finance costs. No impairment is recognized for the period September 30, 2025 and 2024.

For the period ended September 30, 2025, total depreciation expense charged in the interim consolidated statement of income amounted to P539.0 million (2024 – P529.0 million) (Note 13).

4 Intangible Assets

This account consists of:

	As at September 30, 2025 (Unaudited)	As at December 31, 2024 (Audited)
Trademarks	2,647,760	2,654,311
Goodwill	1,965,052	1,964,379
Software license	63,888	73,910
Franchise fees	62,083	51,833
Brand development costs	14,755	14,755
	4,753,538	4,759,188

Movements of trademarks, franchise fees, software license and brand developments costs are as follows:

September 30, 2025 (Unaudited)					
	Trademarks	Software License	Franchise Fees	Brand Development Costs	Total
Cost					
At January 1, 2025	2,913,270	227,971	280,505	17,213	3,438,959
Additions	3,233	39,150	133,446		175,829
Disposals	(2,438)	(10,900)	(183,709)	(512)	(197,559)
At September 30, 2025	2,914,065	256,221	230,242	16,701	3,417,229
Accumulated Amortization					
At January 1, 2025	258,959	176,138	206,595	2,458	644,150
Amortization	6,876	16,195	9,411	-	32,482
Disposal	(203)	-	(47,847)	(512)	(48,562)
At September 30, 2025	265,632	192,333	168,159	1,946	628,070
Net Carrying Amount	2,648,433	63,888	62,083	14,755	2,789,159

December 31, 2024 (Audited)					
	Trademarks	Software License	Franchise Fees	Brand Development Costs	Total
Cost					
At January 1, 2024	2,913,270	226,055	275,343	24,587	3,439,255
Additions	-	42,816	6,302	-	49,118
Disposals	-	(40,900)	(1,140)	(7,374)	(49,414)
At December 31, 2024	2,913,270	227,971	280,505	17,213	3,438,959
Accumulated Amortization					
At January 1, 2024	241,356	172,220	187,051	7,374	608,001
Amortization	17,603	20,495	20,583	2,458	61,139
Disposals	-	(16,577)	(1,039)	(7,374)	(24,990)
At December 31, 2024	258,959	176,138	206,595	2,458	644,150
Net Carrying Amount	2,654,311	51,833	73,910	14,755	2,794,809

Goodwill acquired through business combination has been attributed to the following brands which are considered to be separate cash-generating units (CGUs) of the Group:

	As at September 30, 2025 (Unaudited)	As at December 31, 2024 (Audited)
Krispy Kreme*	743,665	743,665
Yellow Cab	708,785	708,785
Max's*	255,909	255,909
MCB*	122,786	122,786
Global Max**	72,579	72,579
Dencio's	60,655	60,655
	1,964,379	1,964,379

*Goodwill from these CGUs resulted from the acquisition of the Max's entities in 2014.

** Goodwill resulted from the acquisition of the Global Max in 2015.

The intangible assets with indefinite useful lives are allocated to the Group's CGUs, which are aligned with the Group's operating segments. The allocation is based on the expected benefits from the synergies of the business combinations in which the goodwill and trademarks arose.

The recoverable amount of the CGUs has been determined based on the value in use calculations. These calculations use cash flow projections based on financial budgets approved by management covering a five-year period. The cash flows beyond the five-year period are extrapolated using a steady growth rate.

As at September 30, 2025 and December 31, 2024, the recoverable amount of each CGU was determined through value in use calculation using Level 3 (significant unobservable) inputs and require the use of assumptions. Value in use was derived using cash flow projections based on financial budgets approved by senior management covering a five-year period. Cash flows beyond the five-year period are extrapolated using a terminal growth rate of 1.3% to 2.8%. Weighted average cost of capital (WACC) or discount rate applied to the cash flow projections in determining recoverable amount is 11.71% in 2024.

Based on the above assessment, trademark and goodwill are not impaired as at September 30, 2025 and December 31, 2024 as the recoverable amount of the CGUs exceed the carrying amounts.

The calculations of value in use of the CGUs are most sensitive to the following assumptions:

- Revenue growth rates - The revenue growth rates used in the cash flow projections are based on historical performance and management's expectations of market developments. The growth rates do not exceed the long-term average growth rate for the industry. Management reviews whether the revenue growth rate qualifies as a key assumption due to its significant impact on the recoverable amount.
- Discount rates - Discount rates were derived from the Group's weighted average cost of capital and reflect both current market assessments of the time value of money and management's estimate of risks within the CGUs. In determining appropriate discount rates, regard has been given to various market information, including, but not limited to, ten-year government bond yield, bank lending rates and market risk premium and country risk premium.
- Terminal growth rate - The long-term rate used to extrapolate the budget for the investee companies excludes expansions and possible acquisitions in the future. Management also recognizes the possibility of new entrants, which may have significant impact on existing growth rate assumptions. Management, however, believes that new entrants will not have a significant adverse impact on the forecast included in the budget.

Sensitivity Analysis. Generally, an increase (decrease) in the incremental after-tax cash flows will result in an increase (decrease) in the fair value of intangible assets. An increase (decrease) in discount rate will result in a decrease (increase) in the fair value of intangible assets.

5 Trade and Other Payables

This account consists of:

	As at September 30, 2025 (Unaudited)	As at December 31, 2024 (Audited)
Trade	253,812	528,170
Non-trade	77,990	771,608
Accrued expenses:		
Accrued rent and other accruals	204,635	210,189
Utilities	116,465	86,400
Service and professional fees	101,443	82,634
Payroll and employee benefits	76,537	50,615
Freight and trucking	63,727	56,035
Repairs and maintenance	40,804	43,638
Advertising and marketing	27,673	66,590
Inventories and supplies	97,414	74,264
Statutory liabilities	245,248	193,781
Deposits	145,311	140,485
Contract retention	49,355	59,064
Funds held in trust	44,311	47,126
Current portion of contract liabilities	3,375	3,785
Gift certificates payable	1,259	4,330
Others	81,640	72,102
	1,630,999	2,490,816

Trade payables are noninterest-bearing and are generally on a 30 to 60-day terms.

Non-trade payables mainly pertain to the unpaid billings from contractors for the construction of new stores and various renovation activities on existing stores, as well as unpaid billings from agencies for contractual personnel requirements, among others. These are normally settled within the next financial year. Part of this group of expenses is contractual labor, which are paid within 30 days.

Accrued expenses include Group purchases of goods and services that are already received as at reporting date such as electricity and other utilities, among others, but have not yet been billed, payroll and other benefits as at cut-off date that are not yet due for payment.

Statutory liabilities consist of withholding taxes and other payables to government agencies which are generally payable within 30 days and coinciding when the statutory obligations are due.

Deposits include deposits on purchase of ingredients representing the amount received by the Group from its franchisees as stipulated in the franchise agreements equivalent to 40% of the projected 15-day food and beverage sales to cover for all the ingredients initially advanced by the Group for the commencement of the franchise outlets' commercial operations (Note 2). These are carried at cost, subject to a semi-annual review and are correspondingly adjusted based on the revised projected monthly sales of the franchise outlet.

Funds held in trust are collections made on behalf of franchisees. These are normally remitted in the following month.

Contract retention payable is the amount withheld by the Group from the billings of contractors as security in case the Group incurs costs during the defects and liability period for the works done, which is usually defined after a project's completion. This is subsequently released to the contractors after the said period.

Gift certificates payable pertains to issued gift certificates but not yet redeemed.

Contract liabilities are the unamortized portion of franchise fees received from the franchisees and are amortized over the term of the franchise. As at September 30, 2025, non-current portion of the contract liabilities amounted to P25.5 million (December 31, 2024 - P31.4 million).

6 Leases

Group as a lessee. The Group leases its restaurants, smaller commissary premises and offices it occupies with various lessors with the intention to continue for periods ranging from 1 to 12 years. The lease agreements provide for a fixed rental and/or a monthly rental based on a certain percentage of actual sales or minimum monthly gross sales.

As at September 30, 2025, Security deposits on lease contracts amounting to P615.1 million (December 31, 2024 - 607.0 million) are equivalent to one to three months rental.

Rental expense charged to cost of sales and general and administrative expenses are as follows:

	Note	Nine months ended September 30 (Unaudited)	
		2025	2024
Cost of sales	10	594,956	595,583
General and administrative expenses	11	63,455	52,380
		658,411	647,963

Long-term Lease

The balance of and movements in ROU assets follow:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Cost		
Balance at beginning of year	3,606,595	3,463,140
Additions	225,287	508,739
Retirement	-	(365,284)
Balance at end of year	3,831,882	3,606,595
Accumulated amortization		
Balance at beginning of year	2,763,786	2,601,251
Amortization	214,400	471,225
Retirement	-	(308,690)
Balance at end of year	2,978,186	2,763,786
Carrying Amount	853,696	842,809

The balance and movements in lease liabilities follow:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Balance at beginning of year	898,558	939,835
Rental payments	(250,987)	(545,104)
Additions	225,287	508,739
Retirement	-	(61,506)
Interest	32,289	56,594
Balance at end of year	905,147	898,558
Less: current portion of lease liabilities	224,092	296,533
Lease liabilities, net of current portion	681,055	602,025

The incremental borrowing rate applied to the lease liabilities is 6.0%. ROU assets were measured at the amount equal to the lease liabilities, adjusted by the amount of any prepaid or accrued lease payments at the date of initial recognition.

The Group applied the practical expedient allowed under the amendments to PFRS 16, Leases on COVID-19-Related Rent Concessions and no longer remeasured the lease liabilities to reflect the revised consideration using a revised discount rate. The amount of reduction in lease liabilities arising from the Group's application of the practical expedient and recognized in profit or loss as "Gain on rent concessions" amounted to P115.0 million in 2022. No rent concessions were recognized in 2025 and 2024.

7 Borrowings and Finance Costs

7.1 Long-term debt

The Group obtained Peso-denominated long-term facilities from local banks as follows:

	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Development Bank of the Philippines (DBP)	725,000	775,000
Bank of the Philippine Islands (BPI)	1,656,075	1,770,363
Banco de Oro (BDO)	1,057,500	1,057,500
	3,438,575	3,602,863
Less: Debt issue costs	13,411	13,411
	3,425,164	3,589,452
Less: Current portion of long-term debt	-	100,000
Long-term debt, net of current portion	3,425,164	3,489,452

(a) Long-term Loan with DBP

On November 14, 2019, the Parent Company and No Bia both availed of a long-term debt amounting to P1,000.0 million each with DBP. The proceeds of the loan were used by the Parent Company to finance the capital expenditures of the Group while No Bia used the loan to finance the construction of a commissary plant in Carmona, Cavite, which was completed in 2021 (Note 6). Both long-term debts bore a blended interest rate of 4.63% per annum and matured on November 15, 2024, for the Parent Company and will mature on November 18, 2029, for No Bia, amounting to P600.0 million and P85.0 million, respectively.

Except for the commercial terms of the loan agreements and required financial ratios, the long-term loan agreements do not impose any significant financial or non-financial covenants to the Group. As at September 30, 2025 and December 31, 2024, the Group has complied with its debt covenants. The loan is secured by the Continuing Suretyship of the Parent Company.

(b) Long-term Loan with BPI

On September 20, 2021 and December 21, 2021, the Parent Company refinanced its short-term loans to a long-term loan from BPI amounting to P851.0 million and P380.0 million, respectively. The long-term debt bears interest of 3.10% to 4.30% per annum and will mature on September 29, 2028 with first principal repayment due after three (3) years from the date of drawdown.

On January 26, 2022 and February 15, 2022, the Parent Company refinanced additional long-term debt from BPI amounting to P500.0 million and P50.0 million, respectively. The long-term debt bear interest of 3.13% to 4.30% annually and will mature on February 15, 2029 with first principal repayment due after three (3) years from the date of drawdown. Except for the commercial terms of the loan agreements, the long-term debt does not impose any significant financial or non-financial covenants to the Group.

Except for the commercial terms of the loan agreements, the long-term debt does not impose any significant financial or non-financial covenants to the Group.

(c) Long-term Loan with BDO

In 2022, the Parent Company availed a total of P917.5 million long-term debt from BDO to finance capital expenditures and refinance portion of its short-term loans. The long-term debt has a term of seven (7) years at an interest range of 3.85% to 5.20% annually. In 2023, the Parent Company availed additional P140.0 million long-term debt from BDO to finance capital expenditures and general corporate expenses of the Group. The long-term debt has a term of six (6) years and bears interest of 5.55% per annum.

The loan does not impose any significant financial or nonfinancial covenants to the Group

7.2 Interest Expense

Finance costs charged to profit or loss follows:

	Nine months ended September 30 (Unaudited)	
	2025	2024
Long-term debt	177,351	176,341
Loans payable	32,288	26,835
	209,639	203,176

8 Equity

8.1 Capital Stock

The movements of the Parent Company's capital stock as at September 30, 2025 and December 31, 2024 follow:

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	No. of Shares	Amount (In Thousands)	No. of Shares	Amount (In Thousands)
Authorized P1 par value	1,400,000,000	1,400,000	1,400,000,000	1,400,000
Issued				
Balance at beginning and end of year	1,087,082,024	1,087,082	1,087,082,024	1,087,082
Outstanding				
Issued at beginning and end of year	1,087,082,024	1,087,082	1,087,082,024	1,087,082
Less: treasury shares	50,667,400	499,102	50,667,400	499,102
	1,036,414,624	587,980	1,036,414,624	587,980
Shares held by subsidiaries				
Balance at beginning and end of year	257,878,044	2,122,928	257,878,044	2,122,928

Below is the track record of issuance of the Parent Company's securities:

Date of Approval	Nature	Authorized	Number of shares	
			Issued/Subscribed	Issue/Offer Price
December 2000	Listing of shares	400,000,000	188,636,364	P1.48
June 2007	Note conversion	400,000,000	4,000,000	4.49
November 2010	Note conversion	400,000,000	45,159,091	4.10
January 2014	Note conversion	400,000,000	21,415,385	6.18
June 2014	Share swap	400,000,000	540,491,344	7.35
August 2014	Stock dividends	1,400,000,000	259,210,840	1.00
December 2014	Follow-on Offering	1,400,000,000	28,169,000	17.75

The Group has 101 stockholders as at September 30, 2025 and December 31, 2024.

8.2 Treasury Stock

On March 15, 2018, the Parent Company's BOD approved a 2-year share buy-back program wherein the Parent Company may acquire its own shares in the open market up to an aggregate value of P350.0 million worth of Parent Company's shares.

On March 11, 2020, the Parent Company's BOD approved the amendment of the share buy-back program to increase the amount of shares which may be acquired to an aggregate value of P1.0 billion worth of the Parent Company's shares until March 13, 2022, under such terms and conditions deemed beneficial by the Parent Company's management.

On March 11, 2020, the Parent Company's BOD approved the amendment of the share buy-back program to increase the amount of shares which may be acquired to an aggregate value of P1.0 billion worth of the Parent Company's shares until March 13, 2022, under such terms and conditions deemed beneficial by the Parent Company's management.

On August 14, 2023, the Parent Company's BOD approved the buy-back of its shares with a total acquisition value up to P200.0 million. The buy-back program may be executed over several tranches for a period of one year. As at December 31, 2024, the Parent Company exercised the buy-back of 877,600 shares for P3.9 million.

8.3 Shares Held by Subsidiaries

Shares held by subsidiaries pertain to Parent Company shares of stock held by subsidiaries acquired on February 24, 2014. In 2020, the Parent Company bought back shares of stock held by its subsidiaries.

As at September 30, 2024 and December 31, 2024, shares of stock held by subsidiaries are as follows:

Subsidiary	Number of Shares
MKI	101,173,438
TRADCI	81,543,725
MBI	47,639,861
No Bia	27,521,020
	257,878,044

8.4 Retained Earnings

The following are the dividends declared and paid by the Parent Company:

Dividend Type	Date of Declaration and BOD Approval	Date of Record	Date Paid or Payable	Amount (In Thousands)	Dividend per Share
Cash	March 24, 2025	April 11, 2025	May 09, 2025	145,950	P0.141
Cash	March 13, 2024	April 4, 2024	April 30, 2024	175,000	0.169
Cash	March 15, 2023	March 30, 2023	April 28, 2023	200,000	0.193

The amount includes cash dividends amounting to P36.3 million, P43.6 million and P49.7 million to subsidiaries that own Parent Company shares in 2025, 2024 and 2023. There were no dividends declared in 2022. On March 25, 2025, the Group's BOD declared cash dividends in the amount of P0.141 per share totaling to P146.0 million for shareholders of record as at April 4, 2025 which will be paid on May 9, 2025.

9 Related Party Disclosures

The Group has transactions within and among the consolidated entities and other related parties which are normally settled through cash. Transactions between members of the Group and the related balances are eliminated at consolidation and are no longer included in the following disclosures.

- i. Shares held by the Retirement Plan which pertain to own equity instruments held by the retirement fund of the 10 Max's entities amounted to P160.7 million as at September 30, 2025 and December 31, 2024.
- ii. Due from stockholders amounted to P127.2 million as at September 30, 2025 and December 31, 2024, respectively. These are unsecured and on demand from parties with common shareholders as the Group.
- iii. Compensation of key management personnel amounted to P89.5 million and P110.8 million for the period ended September 30, 2025 and 2024, respectively.

10 Costs of Sales

This account for the period ended September 30 (unaudited) consists of:

	Note	2025	2024
Food and beverage		3,074,820	3,057,698
Salaries, wages and employee benefits		1,108,800	1,129,093
Rentals	6	594,956	595,583
Depreciation and amortization	13	502,298	491,572
Light and water		375,656	361,206
Repairs and maintenance		126,831	143,557
Fuel and oil		97,943	107,534
Supplies used		96,850	107,568
Amortization of intangible assets	13	4,169	3,747
Others		123,081	127,188
		6,105,404	6,124,746

Others consist of communications, transportation and travel, and dues and subscriptions.

11 General and Administrative Expenses

This account for the period ended September 30 (unaudited) consists of:

	Note	2025	2024
Salaries, wages and employee benefits		606,919	595,803
Service fees		257,179	229,743
Taxes and licenses		248,345	242,257
Freight out		185,986	190,185
Royalty & brand fund		145,509	159,529
Retirement benefit cost		75,733	69,104
Rental	6	63,455	52,380
Dues and subscription		62,879	77,303
Professional fees		52,336	44,094
Transportation and travel		40,794	42,866
Light and water		38,179	34,468
Depreciation and amortization	13	36,665	37,476
Amortization of intangibles	13	29,338	38,729
Repairs and maintenance		26,205	63,512
Supplies used		22,754	28,796
Communication		19,344	20,842
Representation and entertainment		12,663	18,664
Others		79,346	87,039
		2,003,629	2,032,790

Other general and administrative expenses consist of insurance, credit card charges and other miscellaneous items.

12 Other income

Other income included in the interim consolidated statement of income for the period ended September 30 (unaudited) are as follows:

	2025	2024
Rent income	33,377	71,601
Net gain on disposal of assets	1,780	1,288
Marketing support	122,752	46,304
Others	(29,984)	29,963
	127,925	149,156

Net gain (loss) on disposal of assets includes gain (loss) on disposal of property, plant and equipment and investment properties and retirement of ROU assets.

Others include mainly of call center charges, sale of scrap materials, rebates and prompt discount.

13 Nature of Expenses

Depreciation and amortization included in the interim consolidated statement of income for the period ended September 30 (unaudited) are as follows:

	Note	2025	2024
Included in costs of sales:	10		
Depreciation and amortization		502,298	491,572
Amortization of intangible assets		4,169	3,747
Included in general and administrative expenses:	11		
Depreciation and amortization		36,665	37,476
Amortization of intangible assets		29,338	38,729
		572,470	571,524

14 Earnings Per Share

Basic/diluted earnings per share for the period ended September 30 are computed as follows:

	2025	2024
Net income (attributable to the equity holders of the Parent Company:	161,808	185,156
Divide by weighted average number of common shares, excluding shares held by subsidiaries	778,537	778,537
Basic/diluted earnings per share	0.21	0.24

There have been no transactions involving common shares or potential common shares that occurred subsequent to the reporting date.

15 Income Taxes

On March 26, 2021, the Corporate Recovery and Tax Incentives for Enterprises (CREATE) Act was approved and signed into effectivity. Under the CREATE Act, domestic corporations will be subject to 25% or 20% RCIT depending on the amount of total assets or total amount of taxable income. In addition, MCIT shall be computed at 1% of gross income for a period of three (3) years. The changes in the income tax rates became effective beginning July 1, 2020.

Accordingly, the income tax rates used in preparing the interim condensed consolidated financial statements for the period ended September 30, 2025 and 2024 are 25% for RCIT and 2% and 1% for MCIT.

16 Financial Instruments

16.1 Financial Risk Management Objectives and Policies

The Group's financial instruments consist of cash and cash equivalents, trade and other receivables (excluding advances to officers and employees settled through liquidation), security deposits on lease contracts, utilities and other deposits and other non-current receivables (included under "Other non-current assets" account), trade and other payables (excluding statutory liabilities, contract liabilities and gift certificates payable), lease liabilities, and long-term debt.

The BOD is mainly responsible for the overall risk management approach and for the approval of risk strategies and principles of the Group. It also has the overall responsibility for the development of risk strategies, principles, frameworks, policies and limits.

The main risks arising from the use of financial instruments are liquidity risk, credit risk, foreign currency risk and interest rate risk. The BOD reviews and approves the policies for managing each of these risks which are summarized as follows:

(a) *Liquidity risk*

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's objectives to managing liquidity risk is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking adverse effect to the Group's credit standing.

The Group seeks to manage its liquid funds through cash planning on a monthly basis. The Group uses historical figures and experiences and forecasts from its collections and disbursements. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows. It also continuously assesses conditions in the financial markets for opportunities to pursue fund raising activities.

The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of bank loans and other long-term debt. The Group considers its available funds and its liquidity in managing its long-term financial requirements. For its short-term funding, the Group's policy is to ensure that there are sufficient operating inflows to match repayments of loans payable.

The table below summarizes the maturity profile of the Group's financial liabilities as at September 30, 2025 and December 31, 2024 based on contractual undiscounted payments:

	September 30, 2025 (Unaudited)				
	On demand	Less than 3 months	3 to 12 months	1 to 5 years	Total
Trade and other payables*	-	1,381,117	-	-	1,381,117
Long-term debt**	-	-	-	2,440,370	2,440,370
Lease liabilities	-	62,669	161,423	681,055	905,147
	-	1,443,786	161,423	3,121,425	4,726,634

*Excluding statutory liabilities, gift certificates payable, and current portion of contract liabilities aggregating to P391.8 million.

**Includes interest

	December 31, 2024 (Audited)				
	On demand	Less than 3 months	3 to 12 months	1 to 5 years	Total
Trade and other payables*	-	2,288,920	-	-	2,288,920
Long-term debt**	-	14,169	592,507	3,546,128	4,152,804
Lease liabilities	-	172,170	124,363	602,025	898,558
	-	2,475,259	716,870	4,148,153	7,340,282

*Excluding statutory liabilities, gift certificates payable, and current portion of contract liabilities aggregating to P201.9 million.

**Includes interest

(b) *Credit risk*

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations.

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographic region, or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Group's performance to developments affecting a particular industry.

The Group has no significant concentrations of credit risk with any single counterparty or group of counterparties having similar characteristics. Since the Group trades only on a cash or credit card basis and with recognized third parties, there is no requirement for collateral. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. In addition, receivable balances are monitored on an ongoing basis with the result that Group's exposure to bad debts is not significant.

The Group's exposure to credit risk on trade and other receivables arise from default of the counterparty, with a maximum exposure equal to the carrying amounts of these receivables. Credit risk from cash is mitigated by transacting only with reputable banks duly approved by management.

The tables below summarize the analysis of the Group's financial assets:

September 30, 2025 (Unaudited)	Neither Past Due nor	Past due but not Impaired				Impaired Financial	Total
	Impaired	30 days	30-60 days	60-90 days	Over 90 days	Assets	
Cash and cash equivalents*	664,337	-	-	-	-	-	664,337
Trade and other receivables**	205,373	57,280	15,264	9,619	458,080	515,164	1,260,780
Security deposits on lease contracts	745,549	-	-	-	-	130,444	875,993
Utilities and other deposits***	70,684	-	-	-	-	-	70,684
Other noncurrent receivables***	19,787	-	-	-	-	24,158	43,945
	1,705,730	57,280	15,264	9,619	458,080	669,766	2,915,739

*Excluding cash on hand amounting to P27.9 million.

**Excluding advances to officers and employees amounting to P48.6 million.

***Presented under "Other noncurrent assets" account.

December 31, 2024 (Audited)	Neither Past Due nor	Past due but not Impaired				Impaired Financial	Total
	Impaired	30 days	30-60 days	60-90 days	Over 90 days	Assets	
Cash and cash equivalents*	1,044,070	-	-	-	-	-	1,044,070
Trade and other receivables**	809,880	319,135	90,644	45,594	285,703	513,479	2,064,435
Security deposits on lease contracts	606,957	-	-	-	-	132,807	739,764
Utilities and other deposits***	71,246	-	-	-	-	-	71,246
Other noncurrent receivables***	21,719	-	-	-	-	24,158	45,877
	2,553,872	319,135	90,644	45,594	285,703	670,444	3,965,392

*Excluding cash on hand amounting to P15.6 million.

**Excluding advances to officers and employees amounting to P51.0 million.

***Presented under "Other noncurrent assets" account.

The Group evaluates credit quality on the basis of the credit strength of the security and/or counterparty/issuer. High grade financial assets are those whose collectability is assured based on past experience. Standard grade financial assets are considered moderately realizable and some accounts which would require some reminder follow-ups to obtain settlement from the counterparty.

The Group considers its financial assets which are neither past due but not impaired as high grade and its financial assets which are past due but not impaired as standard grade.

(c) Foreign currency risk

The Group's policy is to maintain foreign currency exposure within acceptable limits and within existing regulatory guidelines. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits based on the type of business and industry in which the Group is engaged. The Group's exposure to foreign currency exchange risk as at September 30, 2024 and December 31, 2024 pertains to the following:

- Financial position and performance of PHII and its subsidiaries, Alpha Max, PHIM and Global Max which were presented in US\$, HK\$, MYR, and SGD, respectively; and
- Foreign exchange risk also arises for the payment of royalty fees to international franchisors of TRADCI and purchases of imported goods for TRADCI and No Bia.

The Group's foreign currency denominated financial assets and liabilities as at September 30, 2025 and December 31, 2024 are considered immaterial in relation to the consolidated financial statements. Thus, management believes that the Group's exposure to foreign currency risk is insignificant.

(d) Interest rate risk

The Group's exposure to market risk for changes in interest rates relates primarily to its loans payable and long-term debt. To manage this risk, the Group determines the mix of its debt portfolio as a function of the level of current interest rates, the required tenor of the loan and the general use of the proceeds of its fund-raising activities.

The following table demonstrates the sensitivity to a reasonable possible change in interest rates, with all other variables held constant, of the Group's income or loss before tax:

	Increase (decrease) in basis points	Effect on income before tax (in thousands)
September 30, 2025	12%	24,294
	(12%)	(24,294)
December 31, 2024	3%	15,757
	(3%)	(15,757)

16.2 Fair Value Information and Categories of Financial Instruments

The carrying amounts and fair values of the categories of financial assets and liabilities presented in the interim consolidated statements of financial position are as follows:

	September 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
	Carrying Values	Fair Values	Carrying Values	Fair Values
Financial Assets				
Cash and cash equivalents	692,261	692,261	1,059,710	1,059,710
Trade and other receivables*	889,186	889,186	1,550,956	1,550,956
Security deposits on lease contracts	875,993	875,993	606,957	606,957
Utilities and other deposits**	70,684	70,684	71,246	71,246
Other noncurrent receivables**	43,944	43,944	21,719	21,719
	2,572,068	2,572,068	3,310,588	3,310,588
Financial Liabilities				
Trade and other payables***	1,381,117	1,381,117	2,288,920	2,288,920
Long-term debt	3,930,164	2,440,370	4,039,452	2,394,663
	5,311,281	3,821,487	6,328,372	4,683,583

*Excluding advances to officers and employees amounting to P48.6 million (2024 - P51.0 million)

**Presented under "Other noncurrent assets" account.

***Excluding statutory liabilities, gift certificates payable, and contract liabilities aggregating to P249.9 million (2024 - P201.9 million)

The following methods and assumptions were used to estimate the fair value of each class of financial instrument for which it is practicable to estimate such value.

Cash and Cash Equivalents, Trade and Other Receivables (Excluding Advances to Officers and Employees), Trade and Other Payables (Excluding Statutory Liabilities, Gift Certificates Payable, and Contract Liabilities). The carrying amounts of cash and cash equivalents, trade and other receivables (excluding advances to officers and employees) (classified as financial assets at amortized cost), and trade and other payables (excluding statutory liabilities, gift certificates payable, and contract liabilities) approximate their fair values due to their short-term maturities.

Security Deposits on Lease Contracts, Utilities and Other Deposits and Other Non-current Receivables. The carrying amounts of security deposits on lease contracts, utilities and other deposits and other non-current receivables (classified as financial assets at amortized cost) approximate their fair values.

Long-term Debt. The fair value of long-term debt (classified as financial liabilities at amortized cost) approximates the discounted value of future cash flows using the applicable rate of 5.99% in 2025 and 2024. The fair value measurement is classified under Level 2 of the fair value hierarchy.

There are no transfers among the fair value hierarchy levels in 2025 and 2024.

17 Capital Management

The Group considers the equity attributable to the Parent Company presented in the consolidated statements of financial position as its capital. The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value.

The Group manages its capital structure and makes adjustments when there are changes in the economic conditions. To maintain or adjust the capital structure, the Group may adjust the dividend payment to shareholders, return capital to stockholders or issue new shares. No changes were made in the objectives, policies, or processes in 2025 and 2024.

The Group monitors capital using the debt-to-equity ratio. The Group's policy is to maintain debt-to-equity ratio of 70:30 in order to comply with the restrictive loan covenants of the banks (Note 7).

18 Summary of material accounting policy information

The principal accounting policies adopted in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

18.1 Basis of preparation

The consolidated financial statements of the Company have been prepared in accordance with Philippine Financial Reporting Standards (PFRS) Accounting Standards. PFRS Accounting Standards comprise the following authoritative literature:

- PFRS Accounting Standards;
- PAS Standards; and
- Interpretations issued by the International Financial Reporting Interpretations Committee (IFRIC), Philippine Interpretations Committee (PIC), and Standing Interpretations Committee (SIC) as approved by the Financial and Sustainability Reporting Standards Council (FSRSC) and the Board of Accountancy, and adopted by the Securities and Exchange Commission (SEC).

18.1.1 Measurement bases

The consolidated financial statements are presented in Philippine Peso, which is the Parent Company's functional currency. All amounts are rounded to the nearest thousands except when otherwise indicated.

The consolidated financial statements of the Group have been prepared under the historical cost basis. Historical cost is generally based on the fair value of the consideration given in exchange for an asset and the fair value of consideration received in exchange for incurring a liability.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a nonfinancial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting date.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Further information about the assumptions made in measuring fair value is included in Notes 10 and 27 to the consolidated financial statements.

Changes in accounting policies and disclosures

(a) New standards, and amendments, and interpretations to existing standards as adopted

The Group has applied the following amendments for the first time for their annual reporting period commencing January 1, 2024:

- Amendments to PAS 1, 'Presentation of Financial Statements'

Amendments made to PAS 1, Presentation of Financial Statements, in 2020 and 2022 clarified that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the entity's expectations or events after the reporting date (for example, the receipt of a waiver or a breach of covenant that an entity is required to comply with only after the reporting period).

Covenants of loan arrangements will not affect the classification of a liability as current or non-current at the reporting date if the entity must only comply with the covenants after the reporting date. However, if the entity must comply with a covenant either before or at the reporting date, this will affect the classification as current or non-current even if the covenant is only tested for compliance after the reporting date.

The amendments require disclosures if an entity classifies a liability as non-current and that liability is subject to covenants that the entity must comply with within 12 months of the reporting date. The disclosures include:

- The carrying amount of the liability.
- Information about the covenants, including the nature of the covenants and when the entity is required to comply with them.
- Facts and circumstances, if any, that indicate that the entity may have difficulty complying with the covenants.

The amendments must be applied retrospectively in accordance with the requirements in PAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors'. Special transitional rules apply if an entity had early adopted the 2020 amendments regarding the classification of liabilities as current or non-current.

- Amendment to PFRS 16, 'Lease Liability in Sale and Leaseback'

In September 2022, the IASB finalized narrow-scope amendments to IFRS 16 Leases, which explain how an entity accounts for a sale and leaseback after the date of the transaction. The amendments specify that, in measuring the lease liability subsequent to the sale and leaseback, the seller-lessee determines 'lease payments' and 'revised lease payments' in a way that does not result in the seller-lessee recognizing any amount of the gain or loss that relates to the right of use that it retains. This could particularly impact sale and leaseback transactions where the lease payments include variable payments that do not depend on an index or a rate.

- (b) New standards, and amendments, and interpretations to existing standards issued but not yet effective as of December 31, 2024

Certain new standards, and amendments, and interpretations to existing standards have been published that are not mandatory for the December 31, 2024, reporting periods and have not been early adopted by the Group. None of these are expected to have a significant effect on the financial reporting of the Group, while the most relevant ones are set out as follows:

- Amendments to PAS 21, 'Lack of Exchangeability'

In August 2023, the IASB amended IAS 21 to add requirements to help entities determine whether a currency is exchangeable into another currency and the spot exchange rate to use when it is not. Prior to these amendments, IAS 21 set out the exchange rate to use when exchangeability is temporarily lacking, but not what to do when the lack of exchangeability is not temporary. These new requirements will apply for annual reporting periods beginning on or after January 1, 2025. Early application is permitted, subject to any endorsement process. For further details, refer to "Filling the Gap in Currency Accounting: New IFRS Requirements for Lack of Exchangeability."

- PFRS 18, 'Presentation and Disclosure in Financial Statements'

This is the new standard on presentation and disclosure in financial statements, which replaces IAS 1, with a focus on updates to the statement of profit or loss.

The key new concepts introduced in IFRS 18 relate to:

- The structure of the statement of profit or loss with defined subtotals.
- Requirement to determine the most useful structure summary for presenting expenses in the statement of profit or loss.
- Required disclosures in a single note within the financial statements for certain profit or loss performance measures that are reported outside an entity's financial statements (i.e., management-defined performance measures).
- Enhanced principles on aggregation and disaggregation, which apply to the primary financial statements and notes in general.

The Group is still evaluating the impact of the new standard.

- Amendments to PFRS 9 and PFRS 7, 'Classification and Measurement of Financial Instruments'

On May 30, 2024, the IASB issued targeted amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures to respond to recent questions arising in practice and to include new requirements not only for financial institutions but also for corporate entities. These amendments:

- Clarify the date of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system.
- Clarify and add further guidance for assessing whether a financial asset meets the solely payments of principal and interest (SPPI) criterion.
- Add new disclosures for certain instruments with contractual terms that can change cash flows, such as some financial instruments with features linked to the achievement of environment, social, and governance targets.
- Update the disclosures for equity instruments designated at fair value through other comprehensive income (FVOCI).

The amendments in (b) are most relevant to financial institutions, but the amendments in (a), (c), and (d) are relevant to all entities. The amendments to IFRS 9 and IFRS 7 will be effective for annual reporting periods beginning on or after January 1, 2026, with early application permitted subject to any endorsement process.

- PFRS 19, 'Subsidiaries without Public Accountability: Disclosures'

This new standard works alongside other IFRS Accounting Standards. An eligible subsidiary applies the requirements in other IFRS Accounting Standards except for the disclosure requirements; instead, it applies the reduced disclosure requirements in IFRS 19. IFRS 19's reduced disclosure requirements balance the information needs of the users of eligible subsidiaries' financial statements with cost savings for preparers. IFRS 19 is a voluntary standard for eligible subsidiaries.

A subsidiary is eligible if:

- It does not have public accountability.
- It has an ultimate or intermediate parent that produces consolidated financial statements available for public use that comply with IFRS Accounting Standards.

The amendments and new standards are effective for annual reporting periods beginning on or after January 1, 2025, and must be applied retrospectively. The Group does not expect the amendments and new standards to have a significant impact on the Group's consolidated financial statements, except for PFRS 18.

18.2 Basis of consolidation

The consolidated financial statements of the Group comprise the financial statements of the Parent Company and its subsidiaries. Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee (i.e. existing rights that give it the current ability to direct the relevant activities of the investee).

When the Parent Company has less than majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangement; and,
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated statements of income from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance.

Non-controlling interests represent the portion of net results and net assets not held by the Parent Company. These are presented in the consolidated statements of financial position within equity, apart from equity attributable to equity holders of the Parent Company and are separately disclosed in the consolidated statements of income and consolidated statements of comprehensive income. Non-controlling interests consist of the amount of those interests at the date of original business combination and the non-controlling interests' share on changes in equity since the date of the business combination.

The financial statements of the subsidiaries are prepared for the same reporting year as the Parent Company. Consolidated financial statements are prepared using uniform accounting policies for similar transactions and other events in similar circumstances. Intercompany balances and transactions, including intercompany profits and losses, are eliminated.

A change in the ownership interest of a subsidiary, without loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity, if any;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes surplus or deficit in profit or loss; and
- Reclassifies the Parent Company's share of component previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Parent Company had directly disposed of the related assets or liabilities.

The assets and liabilities of foreign subsidiaries are translated into presentation currency of the Parent Company at the rate of exchange as at reporting date while the income and expense accounts are translated at the weighted average exchange rates for the year. The resulting translation differences are included in equity under the account "Cumulative translation adjustments".

Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value, and the amount of any non-controlling interest in the acquiree. For each business combination, the acquirer measures the non-controlling interest in the acquiree pertaining to instruments that represent present ownership interests and entitle the holders to a proportionate share of the net assets in the event of liquidation either at fair value or at the proportionate share of the acquiree's identifiable net assets. All other components of non-controlling interest are measured at fair value unless another measurement basis is required by PFRS. Acquisition-related costs incurred are expensed and included in general and administrative expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date, including the separation of any embedded derivatives in host contracts by the acquiree.

If the business combination is achieved in stages, any previously held interest is remeasured at its acquisition date fair value and any resulting gain or loss is recognized in the consolidated statements of income. It is then considered in the determination of goodwill.

Any contingent consideration to be transferred by the acquirer will be recognized at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration which is deemed to be an asset or liability will be recognized in accordance with PFRS 9 either in the consolidated statements of income or as a change to other comprehensive income. If the contingent consideration is not within the scope of PFRS 9, it is measured in accordance with appropriate PFRS. Contingent consideration that is classified as equity is not remeasured until it is finally settled and accounted for within equity.

If necessary, information such as fair value of assets and liabilities acquired, is not available by the end of the reporting period in which the business combination occurs, provisional amounts are used for a period not exceeding one year from the date of acquisition or the measurement period. During this period, provisional amounts recognized for a business combination may be retrospectively adjusted if relevant information has been obtained or becomes available.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognized for non-controlling interest, and any previous interest held, over the net fair value of the identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group reassesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedure used to measure the amounts to be recognized at the acquisition date. If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then gain is recognized in the consolidated statements of income.

After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's CGUs that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

Where goodwill forms part of a CGU and part of the operation within CGU unit is disposed of, the goodwill associated with the operation disposed of is included in the carrying amount of the operation when determining the gain or loss on disposal of the operation. Goodwill disposed of in this circumstance is measured based on the relative values of the operation disposed of and the portion of the CGU retained.

If the Group reorganizes its reporting structure in a way that changes the composition of one or more CGU to which goodwill has been allocated, the goodwill shall be reallocated to the units affected.

There were no reorganizations in reporting structure for the period ended September 30, 2025 and December 31, 2024 that changed the allocation of goodwill.

18.3 Financial assets and liabilities

18.3.1 Classification and presentation

(a) Date of recognition

Financial assets and liabilities are recognized in the consolidated statements of financial position when the Group becomes a party to those contractual provisions of a financial instrument. In the case of a regular way purchase or sale of financial assets, recognition and derecognition, as applicable, is done using settlement date accounting.

(b) Initial recognition and measurement

Financial instruments are recognized initially at fair value, which is the fair value of the consideration given (in case of an asset) or received (in case of a liability). The initial measurement of financial instruments, except for those designated at fair value through profit and loss (FVPL), includes transaction cost.

(i) "Day 1" difference

Where the transaction in a non-active market is different from the fair value of other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a "Day 1" difference) in profit or loss. In cases where there is no observable data on inception, the Group deems the transaction price as the best estimate of fair value and recognizes "Day 1" difference in profit or loss when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the "Day 1" difference.

(ii) Classification of financial instruments

The Group classifies its financial assets at initial recognition under the following categories: (a) financial assets at amortized cost, (b) financial assets at fair value through other comprehensive income (FVOCI) and, (c) financial assets at financial asset at FVPL. The classification of a financial instrument largely depends on the Group's business model and its contractual cash flow characteristics. Financial liabilities, on the other hand, are classified under the following categories: (a) financial liabilities at amortized cost and (b) financial liabilities at FVPL.

As at September 30, 2025 December 31, 2024, the Group does not have financial assets at FVOCI and financial assets and liabilities at FVPL.

(iii) Financial assets at amortized cost

A financial asset shall be measured at amortized cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

After initial recognition, financial assets at amortized cost are subsequently measured at amortized cost using the effective interest method, less allowance for impairment, if any. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees that are an integral part of the effective interest rate. Gains and losses are recognized in profit or loss when the financial assets are derecognized or impaired and through the amortization process. Financial assets at amortized cost are included under current assets if realizability or collectability is within 12 months after the reporting period. Otherwise, these are classified as non-current assets.

The Group's cash and cash equivalents, trade and other receivables (excluding advances to officers and employees settled through liquidation), security deposits on lease contracts, utilities and other deposits and other non-current receivables (included under "Other non-current assets" account) are classified under this category.

(iv) Financial liabilities at amortized cost

Financial liabilities are categorized as financial liabilities at amortized cost when the substance of the contractual arrangement results in the Group having an obligation either to deliver cash or another financial asset to the holder, or to settle the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of its own equity instruments.

These financial liabilities are initially recognized at fair value less any directly attributable transaction costs. After initial recognition, these financial liabilities are subsequently measured at amortized cost using the effective interest method. Amortized cost is calculated by taking into account any discount or premium on the issue and fees that are an integral part of the effective interest rate.

Gains and losses are recognized in profit or loss when the liabilities are derecognized or through the amortization process.

This category includes trade and other payables (excluding statutory liabilities, contract liabilities and gift certificates payable), lease liabilities and long-term debt.

18.3.2 Impairment of financial assets at amortized cost

The Group recognizes an allowance for expected credit loss (ECL) for financial assets carried at amortized cost. ECL is based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive. The difference is then discounted at an approximation to the asset's original effective interest rate.

For trade and non-trade receivables, the Group has applied the simplified approach in measuring ECL. Simplified approach requires that ECL should always be based on the lifetime ECL. The Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

When there has been a significant increase in credit risk since initial recognition, the allowance will be based on the lifetime ECL. When determining whether the credit risk of a financial asset has increased significantly since initial recognition, the Group compares the risk of a default occurring on the financial instrument as at the reporting date with the risk of a default occurring on the financial instrument as at the date of initial recognition and consider reasonable and supportable information, that is available without undue cost or effort, that is indicative of significant increases in credit risk since initial recognition.

For other financial assets at amortized cost, the Group applied the general approach in measuring the ECL. The ECL is based on the 12-month ECL, which pertains to the portion of lifetime ECL resulting from default events of a financial instrument that are possible within 12 months after the reporting date. However, when there is a significant increase in credit risk from the initial recognition, the allowance is based on the lifetime ECL.

The Group considers the financial capacity of the counterparties to pay the obligations as they fall due. The Group considers a financial asset in default when contractual payments are 30 days past due. In certain cases, the Group may also consider a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group.

A financial asset is written-off when there is no reasonable expectation of recovering the contractual cash flows.

18.3.3 Derecognition of financial assets and liabilities

(a) Financial assets

A financial asset (or where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- the right to receive cash flows from the asset has expired;
- the Group retains the right to receive cash flows from the financial asset, but has assumed an obligation to pay them in full without material delay to a third party under a “pass-through” arrangement; or
- the Group has transferred its right to receive cash flows from the financial asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its right to receive cash flows from a financial asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of ownership of the financial asset nor transferred control of the financial asset, the financial asset is recognized to the extent of the Group’s continuing involvement in the financial asset. Continuing involvement that takes the form of a guarantee over the transferred financial asset is measured at the lower of the original carrying amount of the financial asset and the maximum amount of consideration that the Group could be required to repay.

(b) Financial liabilities

A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

18.3.4 Classification of financial instrument between liability and equity

A financial instrument is classified as liability if it provides for a contractual obligation to:

- Deliver cash or another financial asset to another entity;
- Exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavorable to the Group; or
- Satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity shares.

If the Group does not have an unconditional right to avoid delivering cash or another financial asset to settle its contractual obligation, the obligation meets the definition of a financial liability.

18.3.5 Offsetting of financial assets and liabilities

Financial assets and financial liabilities are offset, and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is intention to settle on a net basis, or to realize the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, and the related assets and liabilities are presented gross in the consolidated statements of financial position.

18.4 Inventories

Inventories consist of food, beverage and processed inventories, and store and kitchen supplies and equipment. Inventories are valued at the lower of cost and net realizable value (NRV).

Cost is determined using the weighted average method. Cost of processed inventories include direct materials, labor and proportional manufacturing overhead cost based on normal capacity.

NRV of food, beverage and processed inventories is the estimated selling price in the ordinary course of business less the estimated costs to complete and estimated costs necessary to make the sale. NRV of store and kitchen supplies and equipment is the current replacement cost. In determining NRV, the Group considers any adjustment necessary for spoilage, breakage and obsolescence.

18.5 Other current assets

Other current assets mainly include creditable withholding taxes (CWTs), advances to suppliers, prepayments and input value-added tax (VAT). These are carried at cost less any impairment in value.

CWTs. CWTs represent the amount withheld by the Group's customers in relation to its restaurant and commissary sales. These are recognized upon collection of the related sales and are utilized as tax credits against income tax due as allowed by the Philippine taxation laws and regulations.

(a) Advances to suppliers

Advances to suppliers represent advance payments on goods or services to be purchased in connection with the Group's operations. These are charged as an expense in the consolidated statements of income upon actual receipt of goods or services, which is normally within twelve months or within the normal operating cycle.

(b) Prepayments

Prepayments are carried at cost and are amortized on a straight-line basis over the period of expected usage, which is equal to or less than twelve months or within the normal operating cycle. Prepayments that are expected to be realized for no more than 12 months after the reporting period are classified as current asset. Otherwise, these are classified as non-current assets.

(c) Input VAT

Input VAT represents tax imposed on the Group by its suppliers and contractors for the purchase of goods and services, as required under Philippine taxation laws and regulations. The portion of input VAT that will be used to offset the Group's current VAT liabilities is presented as a current asset in the consolidated statements of financial position.

(d) Deferred input VAT

Deferred input VAT represents the unamortized amount of input VAT on capital goods and input VAT on the unpaid portion of availed services. Under Section 4-110-3(c) of Revenue Regulations No. 13 - 2018, recognition of deferred input VAT on capital goods are only allowed until December 31, 2021. Any unutilized input VAT on capital goods as at December 31, 2021 are allowed to be amortized as scheduled until fully utilized.

18.6 Property, plant and equipment

Property, plant and equipment, except for land, are stated at cost less accumulated depreciation and amortization and any allowance for impairment in value. Land is stated at cost less any impairment loss.

The initial cost of property, plant and equipment comprises its purchase price, including import duties and nonrefundable purchase taxes and any directly attributable costs of bringing the property, plant and equipment to its working condition and location for its intended use. Expenditures incurred after the property, plant and equipment have been put into operations, such as repairs and maintenance, are normally charged to expense in the period the costs are incurred. In situations where it can be clearly demonstrated that the expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as an additional cost of property, plant and equipment.

Each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item is depreciated and amortized separately.

Depreciation and amortization are computed using the straight-line method over the estimated useful lives of the assets.

Category	Number of years
Plant and building	10 to 35
Leasehold improvements	5 to 12 or lease term, whichever is shorter
Store and kitchen equipment	5 to 12
Furniture, fixtures and equipment	3 to 5
Transportation equipment	3 to 5

The estimated useful lives, depreciation and amortization method are reviewed periodically to ensure that the periods and method of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property, plant and equipment.

When assets are retired or otherwise disposed of, both the cost and related accumulated depreciation and amortization are removed from the accounts and any resulting gain or loss is recognized in profit or loss.

Fully-depreciated and amortized assets are retained as property, plant and equipment until these are no longer in use.

Construction-in-progress is stated at cost. This includes cost of construction and other direct costs. Construction-in-progress is not depreciated until such time as the relevant assets are completed and available for use. These are reclassified to a specific category of property, plant and equipment when the construction and other related activities necessary to prepare the assets for their intended use are completed and the assets are available for use.

The carrying value of property, plant and equipment is reviewed for impairment when events or changes in circumstances indicate the carrying value may not be recoverable.

18.7 Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is the fair value as at the date of acquisition.

Following initial recognition, intangibles are carried at cost less any accumulated amortization and any accumulated impairment losses. Internally generated intangibles, excluding brand development costs, are not capitalized and expenditures are reflected in profit or loss in the year the expenditure is incurred.

(a) Trademarks and franchise fees

Trademarks and franchise fees are measured initially at cost. The cost of trademarks and franchise fees acquired in business combinations is its fair value at the date of acquisition. Following initial recognition, trademarks with indefinite useful lives are carried at cost less accumulated impairment losses, if any. Trademarks with finite useful life and franchise fees are carried at cost less accumulated amortization and accumulated impairment losses, if any.

Trademarks with indefinite useful lives are not amortized but are tested for impairment annually either individually or at the CGU level. The useful life of an intangible asset is assessed as indefinite if it is expected to contribute net cash inflows indefinitely and is reviewed annually to determine whether the indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis. The Max's, eMax and Max's Corner Bakery trademarks are determined to have indefinite useful lives because considering all of the relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate cash inflows for the Group.

Other trademarks and franchise fees with finite useful life are amortized over 30 years or term of the trademark or franchise agreement, whichever is shorter, using the straight-line method. The useful life and amortization method for trademarks and franchise fees are reviewed at least at each reporting date. A change in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the trademarks and franchise fees are accounted for by changing the useful life and amortization method, as appropriate, and treated as a change in accounting estimates.

The amortization expense on trademarks and franchise fees is recognized in the consolidated statements of income under the general and administrative expense category consistent with its function.

(b) Software license

Software license is measured initially at cost which is the amount of the purchase consideration. Following initial recognition, software license is carried at cost less accumulated amortization and accumulated impairment losses, if any. The Group's software license has a term of five years and is amortized over such period using the straight-line method. The useful life and amortization method for software license are reviewed at least at each reporting date. A change in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the software is accounted for by changing the useful life and amortization method, as appropriate, and treated as a change in accounting estimates. The amortization expense on software is recognized in the consolidated statements of income under general and administrative expense category consistent with its function.

(c) Brand development costs

Brand development costs pertain to capitalized expenditures incurred for the development of methods and materials for use in the operation of the Group. Brand development costs are measured on initial recognition at cost. Following initial recognition, brand development costs are carried at cost less accumulated amortization and accumulated impairment losses, if any. Amortization is recognized upon opening of new stores. Amortization is calculated on a straight-line basis over ten (10) years.

During the period of development, the asset is tested for impairment annually. The amortization expense on brand development costs is recognized in the consolidated statements of income under the general and administrative expense category consistent with its function.

18.8 Investment properties

Investment properties are carried at cost less accumulated depreciation and any impairment in value, except for land which is carried at cost less any impairment in value. When the investment properties are sold or retired, the cost and any impairment in value are eliminated from the accounts and any resulting gain or loss is recognized in profit or loss.

Depreciation is calculated on a straight-line basis over the useful life of the investment properties of 5 to 12 years. The useful life of each of the Group's investment properties is estimated based on the periods over which the asset is expected to be available for use. Such estimation is based on a collective assessment of industry practice and experience with similar assets.

Investment properties are derecognized when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gain or loss on the retirement or disposal of investment properties are recognized in profit or loss in the year of retirement or disposal.

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation or commencement of an operating lease to another party. Transfers are made from investment property when, and only when, there is a change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale.

The carrying value of investment properties is reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable.

The investment properties' useful lives and depreciation method are reviewed, and adjusted if appropriate, at each reporting period.

18.9 Impairment of nonfinancial assets

Property, Plant and Equipment, Investment Properties, Intangible Assets (excluding Trademarks with indefinite useful lives and Goodwill), Other Current Assets, Deferred Input VAT and ROU Assets. The Group assesses at each reporting date whether there is an indication that nonfinancial assets may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the recoverable amount of these nonfinancial assets. An asset's recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, an appropriate valuation model is used. Impairment losses are recognized in profit or loss.

An assessment is made for nonfinancial assets at each reporting date to determine whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of recoverable amount. Any previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized.

If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss.

Trademarks with indefinite useful lives and goodwill

Trademarks with indefinite useful lives and goodwill are tested for impairment annually and when circumstances indicate that the carrying amount may be impaired.

Impairment is determined for trademarks with indefinite useful lives and goodwill by assessing the recoverable amount of each CGU, to which they relate. When the recoverable amount of the CGU is less than its carrying amount, an impairment loss is recognized. Impairment losses relating to trademarks with indefinite useful lives and goodwill cannot be reversed in future periods.

18.10 Capital stock and additional paid-in capital

Capital stock is measured at par value for all shares issued. Additional paid-in capital represents the excess of the investors' total contribution over the stated par value of shares. Incremental costs directly attributable to the issue of new capital stock are shown in equity as a deduction, net of income tax, from the additional paid-in capital, if any.

18.11 Treasury stock

Treasury stock represents own equity instruments which are reacquired by the Group. These are recognized at cost and deducted from equity. No gain or loss is recognized in profit or loss on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized as additional paid-in capital. Voting rights related to treasury shares are nullified and no dividends are allocated to them.

18.12 Retained earnings

Retained earnings include accumulated profits attributable to the Parent Company's stockholders and reduced by dividends. Dividends are recognized as liabilities and deducted from equity when they are declared. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date. Retained earnings may also include effect of changes in accounting policy as may be required by the transitional provisions of new and amended standards.

18.13 Other equity reserves

Other equity reserves comprise items of income and expenses that are not recognized in the consolidated statements of income for the year. This includes translation adjustments and remeasurement adjustments on net retirement liabilities and plan assets, net of deferred income tax.

18.14 Shares held by subsidiaries

Shares of the Parent Company held by subsidiaries are carried at cost and are deducted from equity. No gain or loss is recognized on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. When the shares are retired, the capital stock account is reduced by its par value and the excess of cost over par value upon retirement is debited to additional paid-in capital to the extent of the specific or average additional paid-in capital when the shares were issued and to retained earnings for the remaining balance.

18.15 Revenue recognition

Revenue from contract with customers is recognized when the performance obligation in the contract has been satisfied, either at a point in time or over time, and when the control of goods or services are transferred to the customer at an amount that reflects the consideration to which the Group is entitled in exchange for said goods and services.

The Group also assesses its revenue arrangements to determine if it is acting as a principal or as an agent. The Group has assessed that it acts as a principal in all of its revenue source.

The following specific recognition criteria must also be met before revenue is recognized.

(a) Restaurant sales

Revenue is recognized when the control is transferred to the customer, normally when the related orders are served or delivered.

(b) Commissary sales

Revenue is recognized when the control is transferred to the customer, normally, upon delivery of goods.

(c) Initial franchise fees

Revenue is recognized upon the delivery to the franchisee of information and materials pertaining to the restaurant system being franchised. The franchisee is granted the right to use fully such information and materials at the time of the inception of the franchise agreement for the purpose of planning its investment in the franchised restaurant.

Based on the terms of the franchise agreements executed prior to the initial application of PFRS 15, the services that the Group provides in consideration of its receipt of initial franchise fees and renewal fees from franchisees do not constitute performance obligations that are distinct and separable from the grant of franchise rights. Thus, the revenues corresponding to the fees were amortized over the term of the franchise agreements. PFRS 15 requires any unamortized portion of the fees received to be presented in the consolidated statements financial position as a contract liability.

Unamortized portion of the franchise fees and the excess of cash received from franchisees over satisfied performance obligation or for which obligation has not yet been performed are recorded as "Contract liabilities" account in the consolidated statements of financial position. Contract liabilities are reduced by the amounts of revenue recognized over the term of the franchise.

(d) Initial support fees

Revenue is recognized when the Group has performed substantially all the services to be rendered by the Group before the opening of stores as specified in the agreement.

(e) Royalty and continuing license fees

Revenue is recognized as the royalty accrues based on certain percentages of the franchisee's net sales during the term of the franchise.

(f) Marketing support

Revenue is recognized upon performance or rendering of actual service, taking into consideration contractually defined terms and conditions.

The following specific recognition criteria must also be met before other revenue is recognized:

(g) Rental income

Rental income is recognized on a straight-line basis over the lease term.

(h) Interest income

Revenue is recognized as the interest accrues using the effective interest rate method.

(i) Other income

Other income is recognized when earned.

18.16 Cost and expense recognition

Costs and expenses are decreases in economic benefits during the accounting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decreases in equity, other than those relating to distributions to equity participants.

(a) Cost of sales

Cost of sales mainly pertains to purchases of food and beverages, direct labor and overhead directly attributable into the generation of sales. These are generally recognized when related goods are sold.

(b) Cost of services

Cost of services is recognized as expense when the related services are rendered.

(c) General and administrative expenses

General and administrative expenses represent costs of administering the business and are recognized when the services are used, or the expenses arise.

(d) Sales and marketing expenses

Sales and marketing expenses, which represent advertising and other selling costs, are generally expensed as incurred.

(e) Finance costs

Finance costs are recognized as the interest accrues using the effective interest rate method.

18.17 Employee benefits

Short-term benefits

The Group recognizes a liability net of amounts already paid and an expense for services rendered by employees during the accounting period. A liability is also recognized for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

Short-term employee benefit liabilities are measured on an undiscounted basis and are expensed as the related service is provided.

Retirement benefits

The net retirement liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets, adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method. Actuarial valuations are made with sufficient regularity so that the amounts recognized in the financial statements do not differ materially from the amounts that would be determined at the reporting date.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in the consolidated statements of income. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset that have terms to maturity approximating the terms of the related retirement liability.

Net interest on the net defined benefit liability or asset is recognized as expense or income in the consolidated statements of income.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which these arise. Remeasurements are not reclassified to the consolidated statements of income in subsequent periods.

Plan assets are assets that are held by the long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

18.18 Leases

The Group assesses whether the contract is, or contains, a lease. To assess whether a contract conveys the right to control the use of an identified asset for a period of time, the Group assesses whether, throughout the period of use, it has both of the following:

- i. the right to obtain substantially all of the economic benefits from the use of the identified asset; and
- ii. the right to direct the use of the identified asset.

If the Group has the right to control the use of an identified asset for only a portion of the term of the contract, the contract contains a lease for that portion of the term.

The Group as a Lessee. Leases are recognized as a ROU asset and a corresponding liability at the date at which the leased asset is available for use by the Group, except for leases with terms of 12 months or less (short-term leases) and leases for which the underlying asset is of low value, in which the case the lease payments are recognized as expense on a straight-line basis.

ROU Assets

At commencement date, the Group measures ROU assets at cost. The cost comprises:

- i. the amount of the initial measurement of lease liabilities;
- ii. any lease payments made at or before the commencement date less any lease incentives received;
- iii. any initial direct costs; and
- iv. an estimation of costs to be incurred by the Group in dismantling and removing the underlying asset, when applicable.

The ROU assets are recognized at the present value of the liability at the commencement date of the lease, adding any directly attributable costs. After the commencement date, the ROU assets are carried at cost less any accumulated amortization and accumulated impairment losses, and adjusted for any remeasurement of the related lease liabilities. The ROU assets are amortized over the lease terms including renewals or the useful lives of the underlying assets ranging from 5 to 12 years.

Lease liabilities

At commencement date, the Group measures a lease liability at the present value of future lease payments using the interest rate implicit in the lease, if that rate can be readily determined. Otherwise, the Group uses its incremental borrowing rate.

Lease payments included in the measurement of a lease liability comprise the following:

- i. fixed payments, including in-substance fixed payments;
- ii. variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date;
- iii. amounts expected to be payable by the lessee under residual value guarantees; and
- iv. the exercise price under a purchase option that the Group is reasonably certain to exercise; lease payments in an optional renewal period if the Group is reasonably certain to exercise an extension option; and penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

A lease liability is subsequently measured at amortized cost. Interest on the lease liability and any variable lease payments not included in the measurement of lease liability are recognized in profit or loss unless these are capitalized as costs of another asset. Variable lease payments not included in the measurement of the lease liability are recognized in profit or loss when the event or condition that triggers those payments occurs.

If there is a change in the lease term or if there is a change in the assessment of an option to purchase the underlying asset, the lease liability is remeasured using a revised discount rate considering the revised lease payments on the basis of the revised lease term or reflecting the change in amounts payable under the purchase option. The lease liability is also remeasured using the revised lease payments if there is a change in the amounts expected to be payable under a residual value guarantee or a change in future lease payments resulting from a change in an index or a rate used to determine those payments.

As a practical expedient, a lessee may elect not to assess whether a rent concession occurring as a direct consequence of COVID-19 pandemic is a lease modification and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- Any reduction in lease payment affects only payments originally due on or before September 30, 2022; and
- There is no substantive change to other terms and conditions of the lease.

The Group as a Lessor

Leases where the Group retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Initial direct costs incurred in negotiating an operating lease are added to the carrying amount of the leased asset and recognized on a straight-line basis over the lease term on the same basis as rental income. Contingent rents are recognized as revenue in the period in which these are earned.

18.19 Borrowing costs

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed in the period these occur. Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

18.20 Foreign currency translation and transactions

The functional currency of the entities of the Group is the Philippine Peso except for PHII and its subsidiaries, eMax, M Food and SSI with United States dollar (US\$), Alpha Max with Hong Kong dollar (HK\$), and PHIM with Malaysian Ringgit (MYR). Each entity in the Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency.

The assets and liabilities of PHII, Alpha Max and eMax are translated into Philippine Peso at the rate of exchange ruling at the reporting date and income and expenses are translated to Philippine Peso at monthly average exchange rates. The exchange differences arising on the translation are taken directly to other comprehensive income and presented as a separate component of equity under the "Cumulative translation adjustments" account.

Transactions in foreign currencies are initially recorded using the prevailing exchange rate at the date of transaction. Monetary assets and liabilities denominated in foreign currencies are restated at the functional currency rate of exchange at the reporting date. All differences are taken to the consolidated statements of income.

18.21 Income taxes

(a) Current income tax

Current income tax liabilities for the current and prior periods are measured at the amount expected to be paid to the taxation authorities.

The income tax rates used to compute the amount are those that are enacted or substantively enacted at the reporting date.

(b) Deferred income tax

Deferred income tax is provided on all temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- where the deferred income tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and

- in respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognized for all deductible temporary differences, carryforward benefits of unused tax credits from excess of minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and unused net operating loss carryover (NOLCO) to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of unused tax credits from excess MCIT and unused NOLCO can be utilized, except:

- where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss; and
- in respect of deductible temporary differences associated with investments in subsidiaries, deferred income tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized. Unrecognized deferred income tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred income tax assets to be recovered.

Deferred tax relating to items recognized outside profit or loss is recognized in the consolidated statements of comprehensive income. Deferred tax items are recognized in correlation to the underlying transactions either in other comprehensive income or directly in equity.

Deferred income tax assets and liabilities are measured at the tax rate that is expected to apply to the period when the asset is realized or the liability is settled, based on tax rates that have been enacted or substantively enacted at the reporting date.

Deferred income tax assets and deferred income tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred income taxes relate to the same taxable entity and the same taxation authority.

18.22 Earnings per share

Basic earnings per share is computed by dividing net income for the year attributable to common shareholders by the weighted average number of common shares outstanding during the year excluding shares held by subsidiaries, with retroactive adjustments for any stock dividends declared and stock split.

Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

Where the earnings per share effect of potential dilutive ordinary shares would be anti-dilutive, basic and diluted earnings per share are stated at the same amount.

18.23 Operating segments

The Group is organized and managed separately according to the nature of operations and geographical locations of businesses. The three major operating businesses of the Group are food service, commissary, and support services while geographical segments are segregated to Philippine businesses and international businesses. These operating and geographical businesses are the basis upon which the Group reports its primary segment information presented in Note 26 to the consolidated financial statements.

18.24 Related parties

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party, exercise significant influence over the other party in making financial and operating decisions or a member of the key management personnel of the reporting entity. Parties are also considered to be related if they are subject to common control or common significant influence.

An entity is also considered as a related party if the entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or an entity related to the reporting entity. If the reporting entity is itself such a plan, the sponsoring employers are also related to the reporting entity.

Related party transactions consist of transfers of resources, services or obligations between the Group and its related parties. Transactions between related parties are accounted for at arm's length prices or on terms similar to those offered to non-related parties in an economically comparable market.

Related party transactions are considered material and/or significant if i) these transactions amount to 10% or higher of the Group's total assets or, ii) there are several transactions or a series of transactions over a 12-month period with the same related party amounting to 10% or higher of the Group's total assets. Details of transactions entered into by the Group with related parties are reviewed in accordance with the Group's related party transactions policy.

18.25 Provisions

Provisions, if any, are recognized when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pretax rate that reflects current market assessment of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as a finance cost.

18.26 Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but disclosed in the notes to consolidated financial statements when an inflow of economic benefits is probable.

19 Significant judgments, accounting estimates and assumptions

The preparation of consolidated financial statements requires management to exercise judgment, make accounting estimates and assumptions that affect amounts reported in the consolidated financial statements and related notes. The judgment and estimates used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates.

Judgments and estimates are continually evaluated and are based on historical experiences and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

19.1 Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates, which have the most significant effect on the amounts recognized in the consolidated financial statements.

(a) Determining the functional currency

Management has determined that the functional currency of the Parent Company and its Philippine-based subsidiaries is the Philippine Peso, being the currency of the primary environment in which the Parent Company and its major subsidiaries operate. The functional currencies of its foreign operations are determined as the currency in the country where the subsidiary operates. For consolidation purposes, the foreign subsidiaries' balances are translated to Philippine peso which is the Parent Company's functional and presentation currency.

(b) Determining the classification of financial instruments

The Group exercises professional judgment in classifying financial instruments on initial recognition either as a financial asset or a financial liability in accordance with the substance of the contractual arrangement and the definitions of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the consolidated statements of financial position.

The Group determines that the primary business model in relation to the management of its financial assets is to hold the financial asset to collect contractual cash flows solely for principal and interest.

(c) Establishing control over subsidiaries

The Parent Company determines that it has control over its subsidiaries by considering, among others, its power over the investee, exposure or rights to variable returns from its involvement with the investee, and the ability to use its power over the investee to affect its returns. The following factors are also considered:

- The contractual arrangement with the other vote holders of the investee
- Rights arising from other contractual agreements
- The Parent Company's voting rights and potential voting rights

(d) Classifying lease commitments - Group as a Lessee

The Group has entered into commercial property leases for its stores, commissary and administrative offices. For the Group's non- cancellable lease, the Group recognizes ROU assets and lease liabilities measured at the present value of lease payments to be made over the lease term using the Group's incremental borrowing rate. The Group elected to use the recognition exemptions for lease contracts that, at the commencement date, have a lease term of 12 months or less and do not contain a purchase option (short-term leases) and leases for which the underlying asset is of low value. The related rent expenses on these lease agreements are recognized in profit or loss on a straight-line basis.

The carrying amounts of ROU assets and lease liabilities are disclosed in Note 25 to the consolidated financial statements.

(e) Classifying lease commitments - Group as a Lessor

The Group entered into commercial property sublease agreements. The Group has determined, based on the evaluation of terms and conditions of agreement, that the lessor retains all the significant risks and rewards of ownership of the food park spaces. Thus, the agreement is accounted for as an operating lease.

(f) Identifying performance obligations and timing of satisfaction of revenues

The Group enters into contracts with its customers to sell goods where revenue from group-owned outlets and sale of goods are recognized. The Group determined that all the goods prior to transfer to its respective customers are in its full ownership. The Group concluded that it transfers control over its goods and services, at a point in time, upon receipt of the goods and services by the customer.

For revenue from franchise fee, the performance obligation under the franchise agreement is the delivery to the franchisee of information and materials pertaining to the restaurant system necessary to operate the franchise store, as this is deemed to be the time that the franchisee obtains control of the promised goods and therefore the benefits of unimpeded access. Accordingly, revenue is recognized upon the delivery of such information and materials.

(g) Determining the operating segments

Although each trade name represents a separate operating segment, management has concluded that there is basis for aggregation into a single operating segment as allowed under PFRS 8 because the segments have similar characteristics. This is evidenced by a consistent range of gross margin across all brand outlets. Moreover, all the trade names have the following business characteristics:

- (a) Similar nature of products/services offered and methods to distribute products and provide services, that is, food service through casual dining experience;
- (b) Similar nature of production processes through establishment of central commissary that caters to all brands for all store outlets of the Group;
- (c) Similar class of target customers; and
- (d) Primary place of operations.

(h) Classifying property

The Group determines whether a property is classified as investment property or property, plant and equipment as follows:

- Investment properties consist of land or building which is not occupied and not used in the operations, nor for sale in the ordinary course of business, but are held primarily for rental or capital appreciation.
- Property, plant and equipment comprise properties that are held for use in the ordinary course of business.

19.2 Accounting estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the financial reporting date that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

(a) Assessing the expected credit losses on financial assets at amortized cost

The Group estimates expected credit losses on trade and non-trade receivables from restaurant, commissary sales and franchise fees using a provision matrix that is based on days past due for groupings of various customer segments that have similar loss patterns. Depending on the diversity of its debtor's base, the Group uses its historical credit loss experience adjusted for forward-looking factors, as appropriate.

For other financial assets at amortized cost, the Group applies the general approach in measuring the expected credit losses. The Group assessed that cash and cash equivalents are deposited with reputable counterparty banks that possess good credit ratings.

For security deposits on lease contracts, utilities and other deposits, the Group considered the financial capacity of the lessors to refund the deposits once the lease agreement has been terminated. For receivable from disposal of interest and other current and non-current receivables, the Group considered the mitigation of credit exposure through legally enforceable rights.

The Group assesses that a financial asset is considered credit impaired when one or more events that have a detrimental effect on the estimated future cash flows of the asset have occurred such as significant financial difficulty on the part of the franchisee or debtor cessation of operations.

(b) Estimating the allowance for inventory obsolescence

The Group estimates the allowance for inventory obsolescence related to store and kitchen supplies and equipment whenever the realizable value of these inventories becomes lower than cost due to damage, physical deterioration or obsolescence. Due to the nature of the food, beverages and processed inventories, the Group conducts monthly inventory count and any resulting difference from quantities that are currently recognized is charged to expense or related provision, as applicable.

(c) Estimating the useful lives of property, plant and equipment (excluding land), Intangible assets with definite useful lives and investment properties (excluding land)

The Group reviews annually the estimated useful lives of property, plant and equipment (excluding land), intangible assets with definite useful lives and investment properties (excluding land) based on expected asset utilization as anchored on business plans and strategies that also consider expected future technological developments and market behavior. The estimated useful lives are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of these assets. In addition, estimation of the useful lives is based on collective assessment of industry practice, internal technical evaluation and experience with similar assets.

It is possible that future results of operations could be materially affected by changes in these estimates brought about by changes in the factors mentioned. The amount and timing of recorded expenses for any period would be affected by changes in these factors and circumstances.

There were no changes in the estimated useful lives of property, plant and equipment (excluding land), investment properties (excluding land) and intangible assets with definite useful lives in 2025 and 2024.

The carrying amounts of these assets as at September 30, 2025 and December 31, 2024 are disclosed in Notes 3 and 4 to the interim consolidated financial statements.

Assessing Nonfinancial Assets for Impairment. The Group also assesses impairment on nonfinancial assets whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

The factors that the Group considers important which could trigger an impairment review include the following:

- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- Significant negative industry or economic trends.

In determining the present value of estimated future cash flows expected to be generated from the continued use of the nonfinancial assets, the Group is required to make professional judgments and estimates that can materially affect the consolidated financial statements. The Group determined the recoverable amounts of CGUs based on the higher of fair value less costs of disposal and value in use calculation using zero terminal growth rate and discount rate of 11.71% in 2024.

(d) Assessing the impairment of trademarks with indefinite useful lives and goodwill

The Group tests annually whether any impairment in trademarks with indefinite useful lives and goodwill is to be recognized, in accordance with the related accounting policy in Note 29.9 to the consolidated financial statements. The recoverable amounts of CGUs have been determined based on the higher of fair value less costs of disposal and value in use calculations which require the use of estimates. The Group used zero terminal growth rates in 2025 and 2024, and discount rates of 11.71% in 2025 and 2024, respectively. Based on the impairment testing conducted, the recoverable amounts of the CGUs as at September 30, 2025 and December 31, 2024 calculated based on value in use are greater than the corresponding carrying amounts (including goodwill) of the CGUs as at the same dates.

No provision for impairment loss on trademarks with indefinite useful lives and goodwill was recognized in 2025 and 2024. The carrying amounts of trademarks with indefinite useful lives and goodwill as at September 30, 2025 December 31, 2024 are disclosed in Note 4 to the consolidated financial statements.

(e) Estimating the retirement benefit liabilities

The determination of the Group's obligation and pension cost is dependent on the selection of certain assumptions used in calculating such amounts.

(f) Assessing the realizability of deferred income tax assets

The Group reviews the carrying amounts of deferred income tax assets at each reporting date and reduces the amounts to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized in the future. The amount of deferred income tax assets that are recognized is based upon the likely timing and level of future taxable profits, together with future tax planning strategies to which the deferred income tax assets can be utilized.

(g) Estimating contingencies

The estimate of probable costs for the resolution of possible claims has been developed in consultation with the internal and external counsel handling the Group's defense in these matters and is based upon analysis of potential results. No provision for probable losses arising from legal contingencies was recognized in the Group's consolidated financial statements as at September 30, 2025 and December 31, 2024.

20 Partly-owned subsidiaries and disposal of subsidiaries

20.1 Partly-owned subsidiaries

As at September 30, 2025 and December 31, 2024, there are 15 subsidiaries in the Group with non-controlling interests. Related information is no longer disclosed due to immateriality.

Non-controlling interests amounted to P53.8 million as at September 30, 2025 (December 31, 2024 - P52.4 million)

20.2 Disposal of subsidiaries

In October 2022, the Parent Company entered into an Offer Agreement for the sale of its investment in shares of TGRC, subject to certain conditions of the sale. On June 21, 2023, the sale and purchase agreement was executed for P300.0 million resulting to a net gain amounting to P25.6 million (presented as part of "Net gain (loss) on disposal of assets" account). There were no similar transactions during the period ended September 30, 2025 and December 31, 2024.